Consolidated and Separate Annual Financial Statements

for the year ended 31 May 2026

Cell C is a JSE-listed, proudly South African mobile network operator, positioned for sustained growth and industry impact through an asset-light partnership-led model. We have 8.9 million subscribers with a further 5.7 million Mobile Virtual Network Operator (MVNO) Home Location Register (HLR) subscribers.

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Directors' responsibilities and approval

for the year ended 31 May 2026

The Directors are required by the Companies Act of South Africa (Act 71 of 2008) ('the Companies Act') to maintain adequate accounting records and are responsible for the content and integrity of the consolidated and separate financial statements and related financial information included in this report. It is their responsibility to ensure that the consolidated and separate financial statements fairly present the state of the affairs of the Group as at the reporting date and the results of its operations and cash flows for the period then ended, in conformity with IFRS® Accounting Standards as issued by the International Accounting Standards Board (IASB®).

The consolidated and separate financial statements have been prepared in accordance with IFRS Accounting Standards, the SAICA Financial Reporting Guides as issued by the Accounting Practices Committee, the Financial Reporting Pronouncements as issued by the Financial Reporting Standards Council and in the manner required by the Companies Act, and are based on appropriate accounting policies consistently applied by the Group and supported by reasonable and prudent judgements and estimates.

The focus of risk management in the Group is on identifying, assessing, managing and monitoring all known forms of risk across the Group. While operating risk cannot be fully eliminated, the Group endeavours to minimise it by ensuring that appropriate infrastructure, controls, systems and ethical behaviour are applied and managed within predetermined procedures and constraints.

The Directors acknowledge that they are ultimately responsible for the system of internal financial control established by the Group and place considerable importance on maintaining a strong control environment. To enable the Directors to meet these responsibilities, the directors set standards for internal control aimed at reducing the risk of error or loss in a cost-effective manner. The standards include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties to ensure an acceptable level of risk. These controls are monitored throughout the Group and all employees are required to maintain the highest ethical standards in ensuring the Group's business is conducted in a manner that in all reasonable circumstances is above reproach.

The Directors are of the opinion, based on the information and explanations given by management, that the system of internal control provides reasonable assurance that the financial records may be relied on for the preparation of the consolidated and separate financial statements. However, any system of internal financial control can provide only reasonable, and not absolute, assurance against material misstatement or loss. The going-concern basis has been adopted in preparing the financial statements. Based on forecasts and available cash resources the directors have no reason to believe that the Group will not be a going concern in the foreseeable future. The consolidated and separate financial statements support the viability of the Group.

The consolidated and separate financial statements have been audited by the independent auditing firm, SizweNtsalubaGobodo Grant Thornton Incorporated (SNG Grant Thornton), who have been given unrestricted access to all financial records and related data, including minutes of all meetings of the shareholders, the directors and committees of the directors. The directors believe that all representations made to the independent auditor during the audit were valid and appropriate. The external auditor's unqualified audit report is presented on pages 9 to 13.

The Directors' Report set out on pages 6 to 8, and the consolidated and separate financial statements set out on pages 15 to 75 which have been prepared on the going concern basis, were approved by the directors and were signed on their behalf by:

Each of the directors, whose names are stated below hereby confirm that:

- the annual financial statements set out on pages 17 to 95, fairly present in all material respects the financial position, financial performance and cash flows of the issuer in terms of IFRS;
- to the best of our knowledge and belief, no facts have been omitted or untrue statements made that would make the annual financial statements false or misleading;
- internal financial controls have been put in place to ensure that material information relating to the company and its consolidated subsidiaries have been provided to effectively prepare the financial statements of the issuer;
- the internal financial controls are adequate and effective and can be relied upon in compiling the annual financial statements, and we have fulfilled our role and function as executive directors with primary responsibility for implementation and execution of controls; and
- we are not aware of any fraud involving directors.

ET Kope
Chief Financial Officer
Date: 20 August 2026

JJC Mendes
Chief Executive Officer
Date: 20 August 2026

Certificate by the Company Secretary

for the year ended 31 May 2026

I certify that, to the best of my knowledge and belief, Cell C Holdings Limited has filed all the required returns and notices with the Registrar of Companies and Intellectual Property Commission of South Africa for the year ended 31 May 2026, as required of a company in terms of section 88(2)(e) of the Companies Act of South Africa and that such returns and notices are true, correct and up to date.

M Robinson
Company Secretary

Date: 20 August 2026

Report of the Audit Committee

for the year ended 31 May 2026

1. Introduction

The Audit, Risk and Compliance Committee (the "Committee"), is a committee of the Board of Cell C Holdings Limited and its subsidiaries. In addition to having specific statutory responsibilities to the Shareholders in terms of the Companies Act, it assists the Board through advising and making submissions on financial reporting, internal financial controls, external and internal audit functions as well as statutory and regulatory compliance of the Group.

2. Terms of reference

The Committee has executed its duties during the past financial year in accordance with the approved terms of reference by the Board and Audit, Risk and Compliance Terms of Reference, except in so far as the Committee is required to oversee risk management in the Group (refer to 'Oversight of Reporting Process' below).

3. Composition

The Committee is chaired by SV Zilwa and comprised three additional Committee members, SJ Vilakazi, GN Motsa and M Makanjee.

In addition to Committee members, the Chief Executive Officer, Chief Financial Officer, senior finance executives and representatives from strategy, internal audit, external audit, risk, information technology security, regulatory affairs, legal and forensics attend Committee meetings by invitation, as appropriate. The internal and external auditors have direct access to the Committee.

4. Meetings

The Committee convened three times in the current reporting period to address various matters outlined below. Their focus included monitoring the Group's liquidity. The quorum requirements were met in respect of all meetings held during the year.

5. Duties

The Committee performed the following functions and duties during the current reporting period:

Statutory duties

- Nominated for appointment as Auditor of the Group under section 90 of the Companies Act, a Registered Auditor who in the opinion of the Committee is independent of the Group;
- Determined the fees to be paid to the Auditor and the Auditor's terms of engagement;
- Determined non-audit services which the external Auditors may and may not provide; and
- Considered relevant regulatory and statutory matters pertaining to the Group and reported these matters to the Board and made appropriate recommendations.

Consolidated financial statements

In respect of the consolidated and separate financial statements, the Committee, among other matters:

- Confirmed the going concern as the basis of preparation of the consolidated and separate financial statements;
- Reviewed and discussed the audited consolidated and separate financial statements with the external Auditor and the CFO;
- Reviewed significant adjustments, if any, resulting from external audit queries and accepted any unadjusted audit differences; and
- Made appropriate recommendations to the Board regarding corrective actions to be taken as a consequence of audit findings.

Oversight of reporting process

The Committee has overseen the reporting process, reviewed the consolidated and separate financial statements and recommended the approval thereof to the Board. The Board has since approved the financial statements. The Committee with Management has received assurances that the process and procedures followed to identify and monitor material financial risks, fraud and IT risks related to financial reporting and financial controls are adequate.

Internal financial controls

The Committee:

- Reviewed the effectiveness of the Group's system of internal financial controls including receiving assurance from Management, internal audit and external audit; and
- Reviewed significant issues raised by the internal and external audit process.

Report of the Audit Committee continued

for the year ended 31 May 2026

Internal audit

- Reviewed and approved the internal audit plan;
- Evaluated the effectiveness of the internal audit role; and
- Encouraged co-operation between external and internal audit.

The Head of Internal Audit reports functionally to the Committee, has unrestricted access to the Chairperson of the Committee and reports administratively to the CFO.

External audit

The Committee has satisfied itself as to the independence of the external auditor, SNG Grant Thornton Inc., as set out in section 94(7) of the Companies Act, which includes consideration of compliance with criteria relating to independence or conflicts of interest as prescribed by the Independent Regulatory Board for Auditors, including tenure of the audit firm and rotation of the designated individual partner. Requisite assurance was sought from and provided by SNG Grant Thornton Inc. that internal governance processes within the firm support and demonstrate its claim to independence. SNG Grant Thornton Inc. has been the auditor of the Group for one year.

To assess the effectiveness of the external auditors, the Committee considered the quality, delivery and execution of the agreed audit plan and variations from the plan, as well as the robustness and perceptiveness of SNG Grant Thornton Inc. in its handling of key accounting treatments and disclosures. The ARCC has been informed of the most recent results of SNG Grant Thornton Inc.'s regulatory and firm inspection and is satisfied with the results thereof.

The Committee, in consultation with Executive Management, agreed to the engagement letter, terms, audit plan and budgeted audit fees for the 2026 financial year.

6. Significant financial reporting matters and key audit matters

The Audit and Risk Committee considered the key audit matters reported by the external auditor and engaged extensively with management and the external auditor regarding the appropriateness of the accounting treatment, key judgements and disclosures in the Financial Statements.

6.1 Debt-to-Equity Conversion with The Prepaid Company (TPC)

During the year, debt owing to The Prepaid Company ("TPC"), including debt acquired from Gramercy and Nedbank, was substantially extinguished through a debt waiver (R3,6bn) and conversion into equity (R470k). The transaction resulted in a material reduction in the Group's liabilities and a significant strengthening of the Group's capital structure.

The Committee reviewed the underlying transaction agreements, management's accounting assessment and the proposed financial statement treatment. Particular focus was given to:

- the legal substance of the transaction;
- the accounting for debt concession under IFRS;
- the measurement of equity instruments issued;
- the recognition of the resulting gain on debt extinguishment; and
- the adequacy and transparency of financial statement disclosures.

The Committee was satisfied that the transaction had been appropriately accounted for in accordance with IFRS Accounting Standards and that the related disclosures adequately explain the nature and financial impact of the transaction.

6.2 Repurchase of Cell C Airtime from TPC

The Committee considered management's accounting treatment of the airtime repurchase transaction entered into with TPC, which had a significant impact on the Group's financial position and statement of financial performance. The group repurchased stock with a face value of R8bn for R7,37bn. The initial sale value was R5,07bn. This resulted in a day one gain of R2,09bn, a fair value restatement benefit of R408m was recognized on 27th of November 2025.

Given the complexity and significance of the transaction, the Committee focused on:

- the commercial substance of the arrangement;
- the appropriateness of the accounting treatment adopted;
- the classification of the transaction within equity and liabilities;
- consistency with applicable IFRS requirements; and
- the clarity and completeness of disclosures.

After considering management's analysis and discussions with the external auditor, the Committee concluded that the accounting treatment appropriately reflected the economic substance of the transaction and that the related disclosures were adequate.

Report of the Audit Committee continued

for the year ended 31 May 2026

6.3 Acquisition of Comm Equipment Company (Pty) Ltd (CEC)

The Group acquired 100% of the issued share capital of Comm Equipment Company (Pty) Ltd ("CEC") during the year for R2,02bn from TPC. The acquisition was accounted for as a business combination in accordance with IFRS 3 Business Combinations.

The Committee considered management's acquisition accounting and the independent valuation work supporting the purchase price allocation. Particular attention was given to:

- the identification of acquired assets and assumed liabilities;
- the valuation of separately identifiable intangible assets;
- the determination of the fair value of consideration transferred;
- the resulting goodwill recognised; and
- the reasonableness of key valuation assumptions.

The Committee challenged management on the methodologies and assumptions used and reviewed the sensitivity of significant inputs. Based on the information presented, the Committee was satisfied that the acquisition accounting and related disclosures were appropriate and complied with IFRS requirements.

6.4 Impairment assessment of goodwill

The acquisition of CEC resulted in the recognition of goodwill of R866m, which is subject to annual impairment testing. The recoverable amount assessment requires significant management judgement and the application of valuation assumptions.

The Committee reviewed management's impairment assessment and considered:

- the identification of cash-generating units;
- forecast cash flows and approved budgets;
- revenue growth assumptions;
- operating margin expectations;
- terminal growth assumptions;
- discount rates; and
- sensitivity analyses performed on key assumptions.

The Committee evaluated the reasonableness of management's assumptions in light of current trading performance, business forecasts and market conditions and discussed these matters with both management and the external auditor.

Based on its review, the Committee concluded that the assumptions applied were reasonable and that the carrying value of goodwill was appropriately supported. The Committee was satisfied that the related disclosures appropriately describe the judgements and estimation uncertainty associated with the impairment assessment.

Overall conclusion on key audit matters

The Committee is satisfied that management has exercised appropriate judgement in respect of the significant transactions and estimates considered during the year. The Committee further concluded that the accounting treatments adopted are consistent with IFRS Accounting Standards and that the disclosures contained in the annual financial statements appropriately reflect the underlying transactions and significant judgements applied

Other

The Committee reviewed the Group's risk management processes and noted that key strategic, operational, liquidity, forensic, and information security risks continue to be identified, assessed and monitored. Management provided updates on significant and emerging risks, including liquidity assessment indicators, forensic risk matters, and information security threats, together with the mitigating actions being implemented to ensure adequate cash flow management, funding resilience, fraud prevention, and cyber security protection. The Committee remains satisfied that the risk management framework is appropriate, while noting that continued focus is required to ensure that mitigation plans are implemented timeously and that residual risk exposures, including liquidity, forensic, and information security risks, remain within the Group's approved risk appetite.

SV Zilwa
Chairperson of the Audit, Risk and Compliance Committee

Date: 20 August 2026

Directors' report

for the year ended 31 May 2026

The Board of Directors have pleasure in submitting their report for the year ended 31 May 2026.

1. Review of activities

Nature of business

Cell C Holdings Limited ("Cell C Holdings") and its subsidiaries and associate (collectively the 'Group') operates within the Republic of South Africa. Following the grant of a GSM mobile cellular telecommunications service license, Cell C Proprietary Limited commenced full commercial operations in November 2001 as the third entrant in the market. The Group is a full service national mobile network operator that provides a range of voice, data and value-added services. Refer to Listing Overview presented on page 17.

There were no changes to the principal activities of the Group during the reporting period under review.

Financial results

The Group recorded a profit after tax for the year ended 31 May 2026 of R4.16 billion (2025: R2.2 billion). Full details of the financial results of the Group and Company are set out in these financial statements and accompanying notes for the year ended 31 May 2026.

2. Going concern

The Directors have reviewed the Group budget and cash flow forecasts for the year to 31 May 2026. Based on this review of the current financial position, the Directors are satisfied that the Group has access to adequate resources to continue in operational existence for the foreseeable future and have continued to adopt the going concern basis in preparing the consolidated annual financial statements. Refer to note 39 for a detailed assessment of the going concern basis applied.

3. Events after reporting period

The Directors are not aware of any matter or circumstance arising since the end of the financial year to the date of this report that could have a material financial effect on the financial position or performance of the Group.

4. Share capital

During the current financial year, both the authorised and issued share capital of the Group changed. Refer to note 21 for full details.

5. Dividend

No dividend was declared or paid to the shareholders during the current or prior year.

6. Directorate

The Directors of the Group during the year and up to the date of this report are as follows:

Name	Nationality	Appointment date	Resignation date
JS Mthimunye^	South African	2025/10/22	
SV Zilwa^	South African	2025/10/22	
SJ Vilakazi*	South African	2025/10/22	
RO Ayo-Oladejo#	Nigerian	2025/08/29	22 October 2025
GN Motsa^	South African	2025/10/22	
M Makanjee^	South African	2025/10/22	
JJC Mendes#	South African	2025/08/29	
ET Kope#	South African	2025/08/29	

* Non-Executive Director
\# Executive Director
^ Independent Non-Executive Director

Refer to note 31 of the consolidated and separate annual financial statements for details on directors' remuneration.

Directors' report continued

for the year ended 31 May 2026

Director's interests

The individual interests declared by Directors in the Company's share capital as at 31 May 2026, held directly or indirectly, were as follows:

	Number of shares			
	Direct beneficial		Indirect beneficial	
Director	2026	2025	2026	2025
M Makanjee#	37 736	–	–	–
JS Mthimunye#	–	–	490 566	–
GN Motsa#	37 735	–	–	–
JJC Mendes*	7 650 000	–	–	–
ET Kope*	918 999	–	–	–
RO Ayo-Oladejo*	918 000	–	–	–

* Executive Director
\# Independent Non-Executive Director

There was no change in the interests held by Directors between 31 May 2026 and the date of approval of these financial statements.

The aggregate interest of the current Directors in the capital of the Company was as follows:

	Number of shares	
Director	2026	2025
Beneficial	10 052 037	–

The beneficial interest held by Directors and officers of the Company constitutes 2.96%% (2025: 0%) of the issued share capital of the Company.

7. Resolutions

During the current year, special resolutions were passed in Cell C Limited to effect the pre-listing steps and to approve the reverse acquisition by Cell C Holdings. No other special resolutions were passed by the Group or its subsidiaries that were considered significant to shareholders in their assessment of the state of affairs of the Group during the period covered by these consolidated and separate annual financial statements up to the date of signing.

8. Company Secretary

The Board is satisfied that Ms M Robinson has the qualifications, competence and experience to carry out the duties of a Company Secretary of a public company in accordance with section 88 of the Companies Act of South Africa and is not disqualified to act as such. She is not a Director of the Board and maintains an arm's-length relationship with the Board.

Details of the Company Secretary are as follows:

Secretary's business address:	The Waterfall Campus Cnr Maxwell Drive and Pretoria Main Road Buccleuch 2090
Secretary's postal address:	P.O. Box X36 Benmore 2010

Directors' report continued

for the year ended 31 May 2026

9. Shareholders

The shareholders and their interests at the end of the year are:

	Number of shares	% of issued share capital
1 – 1 000 shares	–	**–**
1001 – 10 000 shares	–	**–**
100 001 – 100 000 shares	180 717	**0.05**
100 001 – 1000 000 shares	2 939 352	**0.86**
1 000 0001 shares and over	336 879 931	**99.08**
	340 000 000	**100**

Shareholding in excess of 5% of the issued ordinary capital of the Group:

	Number of shares	% of issued share capital
The Prepaid Company	168 387 902	**49.53**
Sisonke Growth Partners	54 230 000	**15.95**
Allan Gray	51 601 195	**15.18**

Spread of ordinary shareholders	Number of shares	% of issued share capital
Corporate Stakeholders	244 795 478	**72.00**
Domestic Institutions	71 092 250	**20.91**
Employees etc.	15 300 000	**4.50**
Private Stakeholders/Investors	5 359 621	**1.58**
Domestic Brokers	894 452	**0.26**
Shareholdings below threshold	2 558 199	**0.75**
Total	340 000 000	**100.00**

Public/non-public shareholders	Number of shareholders	% Contribution to number of shareholders	Number of shares	% Contribution to total number of shares
Non-public shareholders				
Strategic Shareholders	1	0.02	54 230 000	15.95
Directors and associates	5	0.10	10 054 099	2.95
Treasury stock	0	0.00	–	0.00
Public shareholders	5 003	99.88	275 715 901	81.09
	5 009	100	340 000 000	100

10. Independent auditors

SizweNtsalubaGobodo Grant Thornton Inc. will remain in office in accordance with section 90(6) of the Companies Act of South Africa.

Independent auditor's report

for the year ended 31 May 2026

To the Shareholders of Cell C Holdings Limited

Report on the audit of the consolidated and separate financial statements

Opinion

We have audited the consolidated and separate financial statements of Cell C Holdings Limited ("the Group and Company") set out on pages 15 to 75, which comprise the consolidated and separate statements of financial position as at 31 May 2026; and the consolidated and separate statements of profit or loss and other comprehensive income; the consolidated and separate statements of changes in equity; and the consolidated and separate statements of cash flows for the year then ended; and notes to the consolidated and separate financial statements, including material accounting policy information.

In our opinion, the consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of Cell C Holdings Limited as at 31 May 2026, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended, in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and the requirements of the Companies Act of South Africa.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements* section of our report. We are independent of the group and company, in accordance with the Independent Regulatory Board for Auditors' *Code of Professional Conduct for Registered Auditors* (IRBA Code) as applicable to audits of financial statements of public interest entities, and other independence requirements applicable to performing audits of financial statements in South Africa. We have fulfilled our other ethical responsibilities in accordance with the IRBA Code and in accordance with other ethical requirements applicable to performing audits of financial statements in South Africa. The IRBA Code is consistent with the corresponding sections of the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)*. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

In terms of the IRBA Rule on Enhanced Auditor Reporting for the Audit of Financial Statements of Public Interest Entities, published in Government Gazette No. 49309 dated 15 September 2023 (EAR Rule), we report:

Final Materiality

Misstatements, including omissions, are considered to be material if the misstatements, individually or in the aggregate, could reasonably be expected to influence the economic decisions of users taken on the basis of the consolidated and separate financial statements.

Our determination of materiality is a matter of professional judgement and is affected by our perception and understanding of the financial information needs of the intended users.

Based on our professional judgement, we determined quantitative thresholds for materiality for the consolidated and separate financial statements as a whole as set out below. Qualitative factors are also considered in making final determinations regarding what is material to the consolidated and separate financial statements.

These factors assisted us to determine the scope of our audit and the nature, timing and extent of our audit procedures and to evaluate the effect of misstatements, both individually and in aggregate on the consolidated and separate financial statements as a whole.

Group Final Materiality

We determined final materiality for the Group to be R164.3 million which is based on 1.3% of revenue. We have identified revenue as the most appropriate basis as we believe it is the benchmark against which the performance of the Group is most commonly measured by users when profitability fluctuates year on year.

The main users of the financial statements will be investors, suppliers, banks, creditors, regulators and prospective investors. The materiality figure is determined for the principal users of the financial statements.

Company Final Materiality

We determined final materiality for the standalone company to be R90.1 million which is based on 1% of net assets/total equity. We have identified that an investment-based measure is most appropriate as the purpose of the company is to hold investments and would be of importance to users for return on investment.

Independent auditor's report continued

for the year ended 31 May 2026

Group audit scope

We designed our group audit by assessing the risk of material misstatement at the group level and determining the nature, timing and extent of audit procedures to be performed across the group. Significant judgements were made in scoping the group audit, including the determination of components at which audit work, in support of the group audit opinion, needed to be performed to address the risk of material misstatement at group level. The decision to perform an audit of the entire financial information of the component, audits of one or more classes of transactions, account balances or disclosures or specified procedures was made considering the likelihood of material misstatements in those components and the overall risk profile of the group.

In selecting components, we involve the component auditors in the risk assessment process and perform risk assessment activities across the group and its components to identify risks of material misstatement. We then identify how the nature and size of the classes of transactions, account balances or disclosures at the components contribute to those risks and thus determine which classes of transactions, account balances or disclosures require an audit response.

We considered the following to determine the components at which audit work, in support of the group audit opinion, needed to be performed to provide an appropriate basis for undertaking audit work to address the risks of material misstatement at group level. This included an assessment of:
- Whether any individual component had relevant events or conditions that may result in a risk to the group financial statements.
- Whether the group auditor needed to obtain audit evidence on all or a significant portion of the component's financial statements.
- Size and nature of the classes of transactions, account balances and disclosures at the component relative to the group financial statements.

We designed and performed further audit procedures on the entire financial information of four components.

We determined the type of work that needed to be performed by us, as the group auditor and component auditors under our instruction. Where the work was performed by a component auditor, we determined the level of involvement we needed to have in the audit work at that component to be able to conclude whether sufficient appropriate audit evidence had been obtained as a basis for our opinion on the consolidated financial statements as a whole.

In respect of the components where we performed audit procedures, 100% of the group's total assets, revenue and profit before tax were covered by the audit of the four components scoped in.

For the components that were not audited, we considered if there were any events or conditions in these components that required additional procedures by performing risk assessment analytical procedures at Group level.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

In terms of the EAR Rule, we are required to report the outcome of audit procedures or key observations with respect to the key audit matters and these are included below.

Key audit matter	How our audit addressed the key audit matter
The Prepaid Company (TPC) debt-to-equity conversion	
As disclosed in note 19 to the consolidated financial statements, debt owing to TPC (including debt purchased by TPC from Gramercy and Nedbank) of R4.1 billion was waived by TPC and the remaining amount owing of R 0.5 million was converted into Cell C (Pty) Ltd shares with an aggregate fair value of R 0.47 million based on the pre-listing fair value of R9 billion. The gain on the debt waived was R3.53 billion which is recognised in other income in the Statement of Profit or Loss and Other Comprehensive Income. The debt-to-equity conversion was considered a key audit matter due to the material value of debt extinguished and equity issued during the year. The transaction resulted in a significant adjustment to the Group's Statement of Financial Position and had a substantial effect on the Group's capital structure.	Our audit addressed this key audit matter as follows: • Reviewing the debt conversion agreements and related supporting documentation. • Assessing the accounting treatment applied by management against the requirements of the relevant IFRS Accounting Standards. • Evaluating the basis used to determine the fair value of the equity instruments issued. • Testing the calculation of the debt extinguished and any resulting gain recognised. • Assessing the appropriateness of the presentation and classification of the transaction within the financial statements. • Reviewing the related disclosures for compliance with applicable financial reporting requirements. Based on the procedures performed, we found the accounting treatment and related disclosures to be acceptable.

Independent auditor's report continued

for the year ended 31 May 2026

Key audit matter	How our audit addressed the key audit matter
Repurchase of Cell C Airtime from TPC	
As disclosed in Note 26 to the consolidated financial statements, the Group entered into a transaction to repurchase Cell C airtime from TPC with a total value of R7.37 billion. The transaction resulted in a significant adjustment to the Group's financial statements and required management to apply judgment in determining the appropriate accounting treatment and presentation. We considered this matter to be a key audit matter due to the magnitude of the transaction, its significant impact on the Group's financial position and results, and the complexity involved in assessing the substance of the arrangement. Significant audit attention was required to evaluate whether the accounting treatment appropriately reflected the commercial substance of the transaction and complied with the requirements of the applicable financial reporting standards.	Our audit addressed this key audit matter as follows: • Reviewing the underlying agreements and contractual terms relating to the repurchase transaction. • Assessing the commercial substance of the arrangement and management's accounting conclusions as a transaction with TPC as a shareholder. • Evaluating the recognition, measurement, classification, and presentation of the transaction in the financial statements. • Testing the accuracy and completeness of the amounts recognised. • Assessing whether the transaction was appropriately reflected in equity and contract liabilities. • Reviewing supporting documentation and obtaining corroborative evidence for significant assumptions and judgments applied. • Assessing the adequacy of the related disclosures in the financial statements. Based on the procedures performed, we found the accounting treatment and disclosures relating to the transaction to be appropriate.
Acquisition of Comm Equipment Company (Pty) Ltd	
As disclosed in note 27 to the consolidated financial statements, Cell C (Pty) Ltd acquired 100% of shares in CEC, an unlisted company that provides procurement, device financing and a range of support services to Cell C (Pty) Ltd for a total consideration of R2 billion. The acquisition has been accounted for using the acquisition method under IFRS 3. The consideration transferred was settled through an issue of equity instruments of Cell C (Pty) Ltd to TPC. The accounting for the acquisition was considered a key audit matter due to the significance of the transaction and the considerable judgment involved in determining the fair values of the acquired assets and liabilities assumed. Significant judgments were applied by management in identifying and valuing separately identifiable intangible assets, determining the fair value of the purchase consideration, and calculating the resulting goodwill arising on acquisition. The valuation of acquired assets and liabilities assumed involved the use of assumptions relating to forecast cash flows, growth rates, discount rates, customer attrition rates, and other valuation inputs. Changes in these assumptions could materially affect the amounts recognised in the financial statements.	Our audit addressed this key audit matter as follows: • Obtaining an understanding of the acquisition and evaluating whether the transaction was appropriately accounted for as a business combination under IFRS 3, Business Combinations. • Reviewing the purchase agreement and related supporting documentation to assess the key terms and conditions of the transaction. • Evaluating management's process for allocating the purchase consideration to the acquired assets and liabilities. • Assessing the methodologies used to determine the fair values of significant acquired assets, liabilities, and purchase consideration. • Involving our valuation specialists to challenge key valuation assumptions and benchmark them against market data where appropriate. • Testing the mathematical accuracy of the purchase price allocation model. • Assessing the reasonableness of key assumptions, including discount rates, forecast cash flows, and growth assumptions. • Evaluating the calculation of goodwill arising from the acquisition. • Assessing the adequacy of the disclosures included in the financial statements relating to the acquisition. Based on the procedures performed, we found the accounting treatment and disclosures relating to the acquisition to be appropriate.

Independent auditor's report continued

for the year ended 31 May 2026

Key audit matter	How our audit addressed the key audit matter
Impairment Assessment of Goodwill	
As disclosed in Note 10 to the consolidated financial statements, the Group has goodwill of R866 million arising from the above business combinations. Management is required to assess goodwill annually for impairment by determining the recoverable amount of the related cash-generating units (CGUs). The impairment assessment was considered a key audit matter due to the magnitude of the goodwill balance and the significant judgment involved in estimating the recoverable amount of the CGUs. The assessment required the use of assumptions relating to future cash flow forecasts, revenue growth rates, operating margins, terminal growth rates, and discount rates. Changes in these assumptions could have a material impact on the impairment assessment.	Our audit addressed this key audit matter as follows: • Assessing the methodology used by management for compliance with the requirements of IAS 36 Impairment of Assets. • Testing the mathematical accuracy of the value-in-use calculation performed. • Comparing forecast cash flows to approved budgets and historical performance. • Challenging key assumptions, including growth rates and discount rates, with the assistance of our valuation specialists, where appropriate. • Performing sensitivity analyses on significant assumptions to evaluate the potential impact of reasonably possible changes. • Assessing the adequacy of the related disclosures in the financial statements. Based on the audit procedures performed, we found management's assumptions and methodology to be within an acceptable range and the related disclosures to be appropriate.

Other Information

The directors are responsible for the other information. The other information comprises the information included in the document titled "Cell C Holdings Limited Consolidated and Separate Annual Financial Statements for the year ended 31 May 2026", which includes the Directors' Report, Report of the Audit and Risk Committee, and the Certificate by the Company Secretary as required by the Companies Act of South Africa. The other information does not include the consolidated or the separate financial statements and our auditor's reports thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Consolidated and Separate Financial Statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and the requirements of the Companies Act of South Africa, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group and Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group and/or Company or to cease operations, or have no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

Independent auditor's report continued

for the year ended 31 May 2026

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group and Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group and Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the group and/or company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report, unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

Audit Tenure

In terms of the IRBA Rule published in Government Gazette No. 39475 dated 4 December 2015, we report that SizweNtsalubaGobodo Grant Thornton Inc. has been the auditor of Cell C Holdings Limited for 1 year.

SizweNtsalubaGobodo Grant Thornton Inc.

SizweNtsalubaGobodo Grant Thornton Inc.

Director: Altaf Fajandar
Registered auditor

20 August 2026

152 14th Road
Noordwyk
Midrand
1687

Listing overview

for the year ended 31 May 2026

1. Pre-listing restructuring implementation

Prior to Cell C Holding's listing on the JSE on 27 November 2025, a comprehensive restructuring plan was initiated and implemented by Blu Label Unlimited Group Limited to strengthen the balance sheet and simplify the capital structure. Post the implementation of both the restructuring process and the reverse acquisition of Cell C Proprietary Limited by Cell C Holdings, TPC sold 30% of its shareholding in Cell C Proprietary Limited at a share price of R26.50 per share.

The following transactions took place on 22 November 2025.

1.1 TPC debt-to-equity conversion

The face value of the debt owing to TPC (including debt previously purchased by TPC from Nedbank) of R 4.1 billion was waived by TPC and the remaining amount owing of R 0.5 million was converted into Cell C Proprietary Limited's shares with an aggregate fair value of R 0.47 million based on the pre-listing fair value of R9 billion. The gain on the face value of the debt waived was R3.53 billion which is recognised in other income in the Statement of Profit or Loss and Other Comprehensive Income (refer to note 29).

1.2 Comm Equipment Company (Proprietary) Ltd (CEC) acquisition

100% of the shares in CEC were purchased from TPC for R2.024 billion in exchange for Cell C Proprietary Limited's shares.

The acquisition is an integral part of Cell C Proprietary Limited's strategy as CEC provides procurement, device financing and a range of support services to Cell C Proprietary Limited. The acquisition resulted in the recognition of goodwill of R866 million. Please refer to note 27 for more information.

1.3 Repurchase of transferred Cell C Airtime from TPC

TPC purchased significant quantities of Cell C Proprietary Limited's airtime at varying discounts (weighted average of 36%) to face value. Cell C Proprietary Limited had the right to repurchase the stock at face value less the prevailing discounts ranging between 4% to 6%. Based on Cell C Proprietary Limited's accounting policy, deferred revenue (contract liability) was recognised for the amount paid by TPC. Revenue would be recognised only when airtime is activated.

As part of the pre-listing restructuring, Cell C Proprietary Limited repurchased airtime with a face value of R8 billion and settled the repurchase price of R7.37 billion by issuing Cell C Proprietary Limited's shares with an aggregate fair value of R6.95 billion based on the pre-listing value of the shares.

At the time of the repurchase of airtime, the related discount differential between the weighted average discount of unearned stock of 36% and the actual transactional discount of 4%, a R2.09 billion loss was recognised directly in equity (against accumulated losses). This loss was partially offset by a fair value adjustment of R408 million, to yield a net impact of R1.678 billion. This was considered to be a transaction with TPC in its capacity as a shareholder of Cell C Proprietary Limited due to the nature of the facts and circumstances at the time of repurchase.

1.4 Sundry creditors settlements

Cell C Proprietary Limited reached a R767 million settlement with a lessor to resolve outstanding lease liabilities. The settlement extinguished certain lease liabilities and related right-of-use assets, resulting in both a recognised net gain of R474 million and termination penalty fee of R118 million in the statements of profit or loss and other comprehensive income.

The continuing leases were renegotiated, with both the lease liability and right-of use assets being reassessed on modification date.

2. Reverse acquisition of Cell C Proprietary Limited by Cell C Holdings

Following the completion of the pre-listing restructuring transactions, Cell C Holdings was established as the new parent company of Cell C Proprietary Limited. This was effected by a share exchange in which Cell C Proprietary Limited shareholders received 1 Cell C Holdings' share for every 979 Cell C Proprietary Limited's shares held. This meant that Cell C Holdings issued 340 000 000 shares to acquire all 332 938 877 226 shares in Cell C Proprietary Limited. Cell C Holdings was listed on 27 November 2025.

Cell C Holdings is simply a continuation of Cell C Proprietary Limited, albeit with a different number of shares in issue. The equity structure in the consolidated financial statements following a reverse acquisition should therefore reflect the equity structure of the legal parent (the accounting acquiree), including the equity interests issued by the legal parent to carry out the reverse acquisition. However, due to the particular nature of reverse acquisitions the use of the historical number of shares of the legal parent may not make sense when calculating the earnings per share after the reverse acquisition. As the legal subsidiary is the accounting parent, the number of shares to use in the earnings per share calculations for the period before the reverse acquisition should be based on the weighted average number of outstanding ordinary shares of the accounting parent before the transaction, adjusted to reflect the exchange ratio applied in the reverse acquisition. Please refer to note 6 for the share performance.

As a consequence of the restructure, the share capital and share premium of Cell C Proprietary Limited have been reclassified into a non-distributable reserve, with a balance of R25.63 billion, in order to accurately reflect the group's capital structure. Refer to note 21 for further details.

Conclusion

Cell C Proprietary Limited has emerged with a stronger balance sheet, a significant reduction in the entity's gearing, a clearer corporate structure positioning Cell C Holdings Limited for a credible entry into the capital markets.

Group statement of financial position

as at 31 May 2026

Figures in R'000	Notes	2026	2025
Assets			
Non-current assets			
Property, plant and equipment	8	**723 690**	459 262
Intangible assets	9	**2 593 802**	1 338 514
Goodwill	10	**866 389**	–
Equity-accounted investments	11.1	**11 031**	10 958
Deferred tax assets	15	**2 024 749**	2 024 749
Advances to customers	17	**593 925**	–
Loans receivable	18	**11 361**	–
Capitalised contract costs	12	**18 421**	23 563
Total non-current assets		**6 843 368**	3 857 046
Current assets			
Inventories	13	**282 661**	55 455
Trade and other receivables	14	**1 712 667**	978 967
Current tax assets	16	**5 231**	–
Advances to customers	17	**1 261 960**	–
Cash and cash equivalents	20	**132 849**	182 110
Total current assets		**3 395 368**	1 216 532
Total assets		**10 238 736**	5 073 578
Equity and liabilities			
Equity			
Share capital	21	**9 010 000**	11 500 612
Share premium	21	**–**	14 168 218
Share-based payment reserve	22	**202 148**	–
Non-distributable reserve	21	**25 629 277**	–
Accumulated loss		**(31 491 806)**	(33 973 577)
Total equity		**3 349 619**	(8 304 747)
Liabilities			
Non-current liabilities			
Deferred tax liabilities	15	**132 540**	–
Borrowings	19	**1 350 817**	1 472 779
Lease liabilities	25	**621 565**	1 638 044
Total non-current liabilities		**2 104 922**	3 110 823
Current liabilities			
Employee benefit obligations	23	**308 725**	215 972
Trade and other payables	24	**4 104 082**	4 547 182
Current tax liabilities	16	**16 581**	147 295
Borrowings	19	**-**	2 483 531
Lease liabilities	25	**180 854**	278 972
Contract liabilities	26	**173 953**	2 594 550
Total current liabilities		**4 784 195**	10 267 502
Total liabilities		**6 889 117**	13 378 325
Total equity and liabilities		**10 238 736**	5 073 578

Group statement of profit or loss and other comprehensive income

for the year ended 31 May 2026

Figures in R'000	Notes	2026	2025
Revenue	7,28	**12 641 318**	11 138 167
Other income	29	**4 875 215**	1 319 077
Direct expenses	30	**(7 707 297)**	(7 720 889)
Employee benefits expense	31	**(992 450)**	(818 183)
Depreciation and amortisation	32	**(713 226)**	(507 638)
Impairment loss on trade receivables	14	**(234 720)**	(1 034)
Other expenses	33	**(3 073 552)**	(1 812 736)
Profit before net finance costs, equity-accounted profit and tax		**4 795 288**	1 596 764
Finance income	34	**13 134**	11 032
Finance costs	35	**(778 737)**	(1 311 740)
Share of profit from equity accounted investments	11.1	**73**	434
Profit before tax		**4 029 759**	296 490
Income tax credit	36	**130 527**	1 920 562
Profit for the year		**4 160 285**	2 217 052
Earnings per share (cents)			
- basic	6	**2 341**	148 537
- diluted		**2 341**	148 537

Group statement of changes in equity

for the year ended 31 May 2026

Figures in R'000	Share capital	Share premium	Share-based payment reserve	Non-distributable reserve	Accumulated loss	Total
Balance as at 1 June 2024	11 500 612	14 168 218	-	-	(36 190 629)	(10 521 799)
Changes in equity						
Profit for the year	-	-	-	-	2 217 052	2 217 052
Total comprehensive income for the year	-	-	-	-	2 217 052	2 217 052
Balance as at 31 May 2025	**11 500 612**	**14 168 218**	**-**	**-**	**(33 973 577)**	**(8 304 747)**
Balance as at 1 June 2025	**11 500 612**	**14 168 218**	**-**	**-**	**(33 973 577)**	**(8 304 747)**
Transactions with shareholders*	-	-	-	-	(1 678 515)	(1 678 515)
Changes in equity						
Profit for the year	-	-	-	-	4 160 285	4 160 285
Total comprehensive income for the year	**-**	**-**	**-**	**-**	**4 160 285**	**4 160 285**
Issue of shares	**8 970 447**	**-**	**-**	**-**	**-**	**8 970 447**
Equity – settled IFRS 2 charge#	**-**	**-**	**202 148**	**-**	**-**	**202 148**
Reverse acquisition transfer^	**(11 461 059)**	**(14 168 218)**	**-**	**25 629 277**	**-**	**-**
Balance as at 31 May 2026	**9 010 000**	**-**	**202 148**	**25 629 277**	**(31 491 807)**	**3 349 618**
Notes	21	21	22	21		

* This relates to the airtime repurchase by Cell C Proprietary Limited from TPC which resulted in a net loss of R1.68 billion. The net differential on the discount from 36% to 4% was R2.09 billion and this are exchange transaction of R408 million.

\# Relates to the Sisonke BEE transaction and management structure.

^ Relates to the reverse acquisition of Cell C Proprietary Limited by Cell C Holdings, refer to note 21 for more details on this transaction.

Group statement of cash flows

for the year ended 31 May 2026

Figures in R'000	Notes	2026	2025
Net cash flows from operations	41	**1 586 194**	1 886 395
Finance costs paid		**(43 574)**	(25 614)
Income taxes paid	43	**(58 911)**	(5 642)
Finance income*	28	**120 885**	–
Net cash flows from operating activities		**1 604 594**	1 855 139
Cash flows used in investing activities			
Finance income received	34	**13 056**	11 032
Acquisition through business combination, net of cash acquired	27	**32 976**	–
Acquisition of property, plant and equipment	8	**(153 656)**	(269 358)
Purchase of intangible assets	9	**(656 828)**	(493 652)
Loans advanced		**(12 051)**	–
Loans repayments		**9 809**	–
Additions to capitalised contract assets	12	**(6 766)**	(6 567)
Loans to group company		**18 683**	–
Cash flows used in investing activities		**(754 777)**	(758 545)
Cash flows used in financing activities			
Repayment of borrowings	42	**(106 057)**	(158 195)
Repayment of lease liabilities	42	**(156 357)**	(262 145)
Loans from group companies		**(621)**	–
Interest paid	42	**(636 043)**	(595 186)
Cash flows used in financing activities		**(829 752)**	(1 015 526)
Net (decrease)/increase in cash and cash equivalents		**(49 261)**	81 068
Cash and cash equivalents at beginning of the year		**182 110**	101 042
Cash and cash equivalents at the end of the year	20	**132 849**	182 110

* Handset contracts include a significant financing component. The interest element is separated from the handset revenue and recognised over the payment period as interest income (trading).

Accounting policies

for the year ended 31 May 2026

1. Statement of compliance

The financial statements have been prepared in accordance with IFRS Accounting Standards as issued by International Accounting Standards Board (IASB) and Interpretations as issued by the IFRS Interpretations Committee, and comply with the South African Institute of Chartered Accountants (SAICA) Financial Reporting Guides as issued by the Accounting Practices Committee (APC), Financial Reporting Pronouncements as issued by the Financial Reporting Standards Council (FRSC), the Johannesburg Stock Exchange (JSE) Listings Requirements and the requirements of the South African Companies Act, No 71 of 2008, as amended (Companies Act).

2. Basis of preparation

The financial statements of Cell C Holdings Limited comprise the Company, its subsidiaries and associates (together referred to as the Group and individually as Group entities).

The financial statements have been prepared in accordance with IFRS Accounting Standards as issued by International Accounting Standards Board (IASB) and Interpretations as issued by the IFRS Interpretations Committee, and comply with the South African Institute of Chartered Accountants (SAICA) Financial Reporting Guides as issued by the Accounting Practices Committee (APC), Financial Reporting Pronouncements as issued by the Financial Reporting Standards Council (FRSC), the Johannesburg Stock Exchange (JSE) Listings Requirements and the requirements of the South African Companies Act, No 71 of 2008, as amended (Companies Act).

The Group has considered all new accounting pronouncements and interpretations that became effective in the current reporting period. These had no material impact on the Group's financial statements. Refer to note 5.

The financial statements have been prepared on the historical cost basis except for certain financial instruments that have been measured at fair value, where applicable.

The preparation of financial statements in conformity with IFRS Accounting Standards requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances. The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods. Actual results may differ from these estimates. Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are included in note 4.

Amounts are rounded to the nearest thousand with the exception of earnings per share and the related number of shares (note 6) and the number of ordinary shares (note 21).

3. Material accounting policies

3.1 Consolidation

3.1.1 Consolidation of subsidiaries

The Group financial statements incorporate the financial statements of Cell C Holdings Limited and all its subsidiaries for the reporting date 31 May 2026 on the basis outlined below.

Subsidiaries are entities controlled by the Group. The Group 'controls' an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries are included in the financial statements from the date control is obtained by the Group until the date control is lost.

The Company accounts for the investment at cost, and less accumulated impairment losses. Impairment is assessed in accordance with IAS 36 – Impairment of assets, by comparing the investment's recoverable amount with its carrying amount. The impairment loss is recognised in profit or loss.

Loss of control

If the Group loses control over a subsidiary, it derecognises the related assets (including goodwill), liabilities, non-controlling interest and other components of equity. Any retained interest in the entity is remeasured to its fair value. Any resulting gain or loss is recognised in profit or loss. The fair value is regarded as the fair value on initial recognition of a financial asset or, when appropriate, the cost on initial recognition of an investment in an associate or joint venture.

3.1.2 Business combination and goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, which is measured at acquisition date fair value, and the amount of any non-controlling interests in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interests in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred and included in other expenses.

Accounting policies continued

for the year ended 31 May 2026

3. Material accounting policies continued

3.1 Consolidation continued

3.1.2 Business combination and goodwill continued

Goodwill is initially measured at cost (being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests and any previous interest held over the net identifiable assets acquired and liabilities assumed). If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognised at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognised in profit or loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses.

3.1.3 Investment in equity-accounted investee

The Group's interest in the equity-accounted investee comprises of an interest in an associate.

An associate is an entity over which the Group has significant influence but not control, generally with a shareholding of 20% of voting rights.

The investment in the associate is accounted for using the equity method. The investment is recognised initially at cost including transaction costs. Subsequent to initial recognition, the Group's share of profit or loss of equity-accounted investees is recognised in the statement of Profit and Loss and Other Comprehensive Income, until the date which significant influence ceases. The Group determines at each reporting date if there are any indicators which would require the Group to test whether the investment in the associate is impaired. An impairment loss is recognised as the difference between the receivable amount and the carrying value of its associate.

3.1.4 Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated. Unrealised gains arising from transactions with equity-accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.2 Foreign currency translation

Functional and presentation currencies

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the functional currency). The financial statements are presented in South African Rand (R), which is the functional and presentation currency.

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

3.3 Property, plant and equipment

Property, plant and equipment is stated at cost less accumulated depreciation and accumulated impairment loss, if any. The cost of property, plant and equipment includes directly attributable costs incurred, being the purchase cost plus any cost to prepare the assets for their intended use, decommissioning costs incurred, and subsequent costs that may be capitalised.

Depreciation is calculated on cost less estimated residual values using the straight-line method over the estimated useful lives, and recognised in profit or loss.

The estimated useful lives for the current and comparative periods are as follows:

Network assets	3 to 20 years
Computer equipment	3 years
Leasehold improvements	5 to 7 years
Office equipment	5 years
Buildings – right-of-use asset *	20 years
Network and equipment – right-of-use asset *	5 to 20 years
Motor vehicles – right-of-use asset *	4 to 5 years

* Refer to Note 3.4 for the accounting policy on right-of-use assets for the Group as lessee.

The residual values, useful lives and depreciation methods are reviewed at each reporting date and adjusted if appropriate.

The carrying amount of property, plant and equipment is derecognised when the asset is disposed of or when no future economic benefits are expected from its use or disposal. Gains and losses on disposal of property, plant and equipment are determined as the difference between the carrying amount and the net disposal proceeds, and are recognised in profit or loss.

Accounting policies continued

for the year ended 31 May 2026

3. Material accounting policies continued

3.4 Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as lessee

The Group leases buildings, network assets and related equipment and motor vehicles.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives. Lease payments included in the measurement of the lease liability comprise fixed payments, including in-substance fixed payments.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property, plant and equipment. In addition, the right-of-use asset is tested for impairment, when appropriate, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

If lease payments are deferred beyond the normal credit terms, interest may be capitalised where material. The interest incurred on deferred payments is calculated by applying the discount rate used to measure the lease liability and is included as part of the lease liability on the balance sheet. This interest is recognised as an expense in profit or loss over the lease term using the effective interest method.

Where deferred payments result in a significant financing component, the Group adjusts the cost of the right-of-use asset and the corresponding lease liability to reflect the time value of money.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured if the Group changes its assessment of whether it will exercise an extension option, revises in-substance fixed lease payments or there are other changes to lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right- of-use asset or is recognised in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group presents right-of-use assets in 'property, plant and equipment' and lease liabilities separately in the statement of financial position.

Lease modifications

A lease is modified when there is a change in the scope or the consideration of a lease, which was not part of the original terms and conditions of the lease. Where the lease has been assessed as modified, the modification is either accounted for as a separate lease or as a remeasurement, depending on the nature of the modification. All modifications are accounted for at the effective date of the lease modification.

Lease modification accounted for as a separate lease

The Group accounts for lease modifications as a separate lease when the modification increases the scope of the lease by adding the right to use one or more underlying assets and the consideration for the lease increases by an amount commensurate with the stand-alone price for the increase in scope.

Lease modifications not accounted for as a separate lease

Where a lease modification is not accounted for as a separate lease, the Group accounts for the modification as a remeasurement of the lease liability by discounting the revised lease payments using a revised discount rate.

The revised discount rate is determined as the interest rate implicit in the lease for the remainder of the lease term, if that rate can be readily determined, or the Group's incremental borrowing rate at the effective date of the modification, if the lease does not specify the interest rate.

Where there is a lease modification that decreases the scope of the lease, resulting in partial or full termination of the lease, the remeasurement of the lease liability results in a decrease of the carrying amount of the right-of-use asset to reflect the decrease in scope unless the decrease exceeds the carrying amount of the right-of-use asset, in which case the excess is recognised in profit or loss.

Short-term leases

The Group recognises lease contracts that are 12 months or less on a straight-line basis as an expense.

Accounting policies continued

for the year ended 31 May 2026

3. Material accounting policies continued

3.5 Intangible assets

Intangible assets of the Group are initially measured at cost. Following initial recognition, intangible assets with finite useful lives are carried at cost less any accumulated amortisation and accumulated impairment losses. Intangible assets with an indefinite useful life are carried at cost less accumulated impairment losses.

Computer software	Computer software that is not considered as an integral part of any hardware equipment is recognised as an intangible asset.
Capitalised contract costs	The Group recognises an asset for the incremental costs of obtaining a contract with a customer if the Group expects to recover those costs. The incremental costs of obtaining a contract are those costs that the Group incurs to obtain a contract with a customer that it would not have incurred if the contract had not been obtained. These costs include certain connection bonuses, interest, administration and margin fees and commissions payable to staff or agents for acquiring customers on behalf of the Group. Incremental costs of obtaining a contract, such as selling, distribution and marketing expenses, are recognised as an expense in profit or loss and included as part of other expenses (refer to note 33.) when incurred, since the amortisation period, if the costs were capitalised, would be less than one year. Capitalised costs are recognised as an asset and amortised over the term of the contract and assessed annually for impairment based on subscriber churn. This class is presented separately in the statement of financial position and disclosed in note 12.
Indefeasible right of use	The indefeasible right of use (IRU) represents the contractual right to use fibre network infrastructure over its estimated useful life.
Purchased subscriber base	The purchased subscriber base relates to the prepaid customer base with an indefinite useful life.
Software under development	The software under development relates to the Next Generation Business Support System (NGBSS), an internally generated software for the billing of customers. Development costs are capitalised and research expenditure is recognised in profit or loss. The software under development was capitalised as computer software and is being amortised over its estimated useful life.
Customer relationships	Customer relationships were acquired as part of the business combination and were recognised as identifiable intangible assets at fair value on the acquisition date, please refer to note 27 for more details on the transaction. These customer relationships arise from the acquisition of postpaid subscriber contracts. At initial recognition, the customer relationships are measured at fair value using appropriate valuation techniques. Customer relationships are considered to have a finite useful life, reflecting expected customer behaviour. These assets are amortised on a straight-line basis over their estimated useful lives of 5 years based on historical churn rates and expected subscriber behaviour.
Reacquired right	The reacquired right was acquired as part of the business combination and was recognised as an identifiable intangible asset at fair value on the acquisition date, please refer to note 27 the reacquired right arises from the subscription income-sharing arrangement between the Group and CEC At initial recognition, the reacquired right is measured at fair value using appropriate valuation techniques. The reacquired right is considered to have a finite useful life. These assets are amortised on a straight-line basis over their estimated useful lives of 4 years based on the contractual period of the subscription income-sharing arrangement.

Accounting policies continued

for the year ended 31 May 2026

3. Material accounting policies continued

3.5 Intangible assets continued

The estimated useful lives for the current and comparative periods are as follows:

Computer software	3 to 5 years
Capitalised contract costs (costs to obtain a contract)	2 to 3 years
Indefeasible right of use	20 years
Purchased subscriber base	Indefinite useful life
Software under development*	Nil
Customer relationships	5 years
Reacquired right	4 years

* Amortisation of the internally generated software under development commences when the software is substantially complete and available for its intended use. In the prior period, the internally generated software was completed and capitalised as computer software.

The useful life is reviewed at each reporting date and adjusted if appropriate. Impairment is tested annually for assets with an indefinite useful life, while assets with a finite useful life are tested whenever there is an indicator that the asset may be impaired. Impairment loss is recognised in profit or loss.

The carrying amount of intangible assets is derecognised when the asset is disposed of or when no future economic benefits are expected from its use or disposal. Gains and losses on intangible assets are determined as the difference between the carrying amount and the net disposal proceeds, and are recognised in profit or loss.

3.6 Financial instruments

Recognition and initial measurement

The Group recognises financial assets and financial liabilities when the Group becomes a party to the contractual provisions of the instrument. Trade receivables and debt securities issued are initially recognised when they are originated.

At initial recognition, the Group measures a financial asset or financial liability at its fair value plus or minus, in the case of a financial asset or financial liability not at fair value through profit or loss (FVTPL), transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price

3.6.1 Initial measurement, classification and subsequent measurement

Accounting for financial instruments

Financial instruments comprise equity instruments, trade and other receivables and cash and cash equivalents, advances in customers, loans receivable, debt instruments, trade payables, lease liabilities and borrowings.

Classification

The Group classifies financial assets on initial recognition as measured at amortised cost and fair value through profit or loss on the basis of the Group's business model for managing the financial asset and the cash flow characteristics of the financial asset.

Financial Instrument	Measurement category	Criteria
Financial asset	Amortised cost	The financial asset is held within a business model with the objective to collect the contractual cash flows, and the contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal outstanding.
	Fair value through profit or loss	The financial asset does not qualify for measurement at amortised cost or fair value through other comprehensive income.
Financial liability	Amortised cost	The financial liability is measured at amortised cost.

Financial assets are not reclassified unless the Group changes its business model for managing those financial assets prospectively. The reclassification is only done at the beginning of the period following the date on which management decided to change its business model.

Accounting policies continued

for the year ended 31 May 2026

3. Material accounting policies continued

3.6 Financial instruments continued

3.6.1 Initial measurement, classification and subsequent measurement continued

Subsequent measurement

Financial instrument	Measurement category	Criteria
Financial asset	Amortised cost	These financial assets are subsequently measured at amortised cost using the effective interest method, less any impairment losses. Interest income, foreign exchange gains and losses, impairments, and any gains or losses on derecognition are recognised directly in profit or loss.
	Fair value through profit or loss	These financial assets are subsequently measured at fair value and changes therein including any interest are recognised in profit or loss.
Financial liability	Amortised cost	The financial liabilities are subsequently measured at amortised cost using the effective interest method.

Financial assets are classified as current if expected to be realised or settled within 12 months from the reporting date; if not, they are classified as non-current. Financial liabilities are classified as non-current if the Group has the right at the end of the reporting period to defer settlement of the liability for at least 12 months after the reporting date.

Derecognition

Financial assets are derecognised when the contractual rights to receive cash flows from the assets have expired or have been transferred and the Group has transferred substantially all risks and rewards of ownership. Financial liabilities are derecognised when the obligations specified in the contracts are discharged, cancelled, or expire. On derecognition of a financial asset, the difference between the asset's carrying amount and the consideration received is recognised in profit or loss. On derecognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid is recognised in profit or loss.

Modification of financial liabilities

A substantial modification of the terms of an existing debt instrument or part of it is accounted for as an extinguishment of the original debt instrument and the recognition of a new debt instrument.

Gains or losses arising from the modification of the terms of a debt instrument are recognised immediately in profit or loss where the modification does not result in the derecognition of the existing instrument.

3.6.2 Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

3.6.3 Impairment of financial assets

The Group recognises loss allowances for expected credit losses (ECLs) on financial assets measured at amortised cost.

The Group measures loss allowances at an amount equal to lifetime ECLs, except for debt securities that are determined to have low credit risk at the reporting date, including, for the Company, amounts due by subsidiary, and the Group's bank balances for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) have not increased significantly since initial recognition, which are measured at 12-month ECLs.

Loss allowances for trade receivables and advances to customers are always measured at an amount equal to lifetime ECLs using a provision matrix, i.e., the simplified approach.

Accounting policies continued

for the year ended 31 May 2026

3. Material accounting policies continued

3.6 Financial instruments continued

3.6.3 Impairment of financial assets continued

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument. 12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The Group assesses the probability of default of normal subscribers, corporate subscribers and advances to customers due to underlying differences, characteristics and behaviour demonstrated by each portfolio. The Group considers normal subscribers to be in default when the financial asset is more than 90 days past due in line with the churn policy of the Group, after which the normal subscribers are considered to be credit impaired. The Group tracks the number of performing invoices for normal subscribers and how they roll into default in order to determine the default rate to be applied to each ageing bucket.

For corporate subscribers, the default rate is based on Moody's credit ratings for key debtors to assess the debt leverage, liquidity position and the recoverability rate of outstanding balances due. For debtors without available credit ratings average Moody's sector default rates are applied.

Advances to customers are assessed using 60 to 84 months of historical sales, collections, and write off data to determine their payment profile. Management considers trade receivables that are more than 90 days past due, as well as those handed over to the Group's attorneys for legal collection, to be in default. Trade receivables and advances to customers.

Trade receivables generally have 40 to 60 days payment terms.

When estimating ECLs, the Group considers the maximum contractual period over which the Group is exposed to credit risk.

Simplified approach

ECLs are calculated by applying a loss ratio to the aged balance of trade receivables and advances to customers at each reporting date, using a provision matrix. The loss ratio is calculated according to the ageing/payment profile of sales by applying historical/proxy write-offs to the payment profile of the sales population. In instances where there is no evidence of historical write-offs the Group uses an estimated proxy write-off.

Trade receivables and advances to customers balances have been grouped so that the ECL calculation is performed on groups of receivables with similar risk characteristics and ability to pay. Similarly, the sales population selected to determine the ageing/payment profile of the sales is representative of the entire population and in line with future payment expectations. The historical loss ratio is then adjusted for forward-looking information to determine the ECL for the portfolio of trade receivables and advances to customers at the reporting date to the extent that there is a strong correlation between the forward-looking information and the ECL.

Factors that would cause trade receivables in excess of 90 days not to be written off in full are, if the debtor is a major shareholder and if subsequent payments have been received as the intention is to settle the debt in full. This assessment is based on the customer's payment history and patterns as well as payments received after the reporting date.

3.6.4 Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets measured at amortised cost are credit-impaired. A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:
- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or being more than 90 days past due;
- the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise; or
- it is probable that the borrower will enter bankruptcy or other financial reorganisation.

Where the financial asset is assessed to be credit-impaired, the Group measures the amount of impairment as the difference between the financial asset's gross carrying amount and the present value of estimated future cash flows discounted at the financial asset's original effective interest rate.

Write-off

The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recovering such in its entirety or a portion thereof. Indicators that there is no reasonable expectation of recovery include, amongst others, the failure of a debtor to engage in a repayment plan with the Group and a failure to make contractual payments for a period of greater than 90 days past due. The Group expects no significant recovery from the amount written off. However, financial assets that are written off are no longer subject to enforcement activities to recover amounts due.

Accounting policies continued

for the year ended 31 May 2026

3. Material accounting policies continued

3.7 Inventories

Inventories for the Group consist of handsets, routers, set-top boxes, handset accessories, laptops, SIM cards and starter packs (merchandise) and are initially recognised at cost. Inventories sold in the Group's branded stores and website for which the Group has no control over, are not included as part of inventory. Inventories are subsequently measured at the lower of cost and net realisable value. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

The cost of inventories is based on the weighted average cost principle and comprises all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition. The same cost formula is used for all inventories having a similar nature and use.

When inventories are sold, the carrying amount of those inventories are recognised as an expense in profit or loss in the period in which the related revenue is recognised. Direct expenses includes commission, buy-out campaign costs, cost of sales for airtime, data, SMS and GPRS costs, connection costs bonus, SIM and handset acquisition costs.

An allowance for obsolete or damaged inventory is maintained by the Group. The level of the allowance for obsolete inventory is equivalent to the value of the difference between the cost of the inventory and its net realisable value at the reporting date. Movements in this allowance are recognised in profit or loss.

3.8 Contingent liabilities

The Group does not recognise contingent liabilities in the Statement of Financial Position until future events indicate that it is probable that an outflow of resources will take place and a reliable estimate can be made, at which time a provision is recognised.

3.9 Share capital

Ordinary shares are classified as equity. Incremental external costs directly attributable to the issue of ordinary shares or share options are recognised in equity as a deduction, net of tax from the proceeds.

3.10 Income tax

Income tax expense comprises current and deferred tax. Income tax expense is recognised in profit or loss.

3.10.1 Current tax

Current tax comprises the expected tax payable or receivable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. The amount of current tax payable or receivable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. Current tax is measured using tax rates enacted or substantively enacted at the reporting date.

Current tax assets and liabilities are offset only where:

- there is a legally enforceable right to set off the recognised amounts; and
- there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Accounting policies continued

for the year ended 31 May 2026

3. Material accounting policies continued

3.10 Income tax continued

3.10.2 Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the tax value used for taxation purposes.

Deferred tax is not recognised for:
- temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
- temporary differences related to investments in subsidiaries, associates and joint arrangements to the extent that the Group is able to control the timing of the reversal of the temporary differences and it is probable that they will not reverse in the foreseeable future; and
- taxable temporary differences arising on the initial recognition of goodwill.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised.

Future taxable profits are determined based on the reversal of relevant taxable temporary differences.

Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised, such reductions are reversed when the probability of future taxable profits improves.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted at the reporting date.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

Current tax for current and prior periods is, to the extent unpaid, recognised as a liability. The amount already paid in respect of current and prior periods which exceeds the amount due for those periods, is recognised as an asset.

The tax benefit arising from tax losses available for utilisation against taxable profits of prior periods is recognised as an asset when recovery of the benefit is probable.

Current tax liabilities (assets) for the current and prior periods are measured at the amount expected to be paid to (recovered from) the taxation authorities.

3.11 Share-based payment

3.11.1 Equity share ownership plan

The Group operates an equity share ownership plan for management, under which the Group entities receive services from employees as consideration for equity instruments of the Group. The fair value of the services received in exchange for the grant of conditional shares is recognised as an expense. The total amount to be expensed is determined by the fair value of the conditional shares granted. The total amount expensed is recognised over the vesting period, which is the period over which all of the vesting conditions are to be satisfied. At each reporting date, the Group entities recognise the impact of any shares that have been forfeited prior to the end of the vesting period, if any, in the statement of profit or loss and other comprehensive income with a corresponding adjustment to equity.

3.11.2 In-substance share option

The Group accounts for an equity-settled in-substance option arrangement under which the Group entities grant an option-like interest in the Group's underlying equity instruments in exchange for Broad-based Black Economic Empowerment (BBBEE) credentials in accordance with IFRS 2, as interpreted by SAICA Financial Reporting Pronouncement 2 (FRP 2).

At the grant date, the fair value of the in-substance option is recognised as equity, with the fair value of the benefits received in exchange for the option recognised as an expense in profit or loss. As there are no vesting conditions attached to the arrangement, the total expense is recognised at the grant date.

Accounting policies continued

for the year ended 31 May 2026

3. Material accounting policies continued

3.12 Revenue from contracts with customers

The Group generates revenue from providing mobile telecommunication services, such as network services (comprising data, voice and SMS), wholesale, roaming services and Fibre-to-the-home (FTTH) as well as from the sale of handset-related equipment. Products and services are sold separately or in bundled packages. The typical length of a contract for postpaid bundled packages range between 2 to 3 years.

When the Group enters into an agreement with a customer, goods and services deliverable under the contract are identified as separate performance obligations to the extent that the customer can benefit from the goods or services on their own and that the separate goods and services are considered distinct from other goods and services in the agreement. The Group determines the transaction price to which it expects to be entitled to in return for providing the promised goods or services to the customer based on the committed contractual amounts, net of VAT and discounts.

The Group recognises revenue when it transfers control over a good or service to a customer. Revenue for the provision of services, such as telecommunication services, is recognised as the Group provides the related service during the agreed service period. Revenue from equipment sales is recognised when the device is delivered to the end customer.

Customers subscribe to a bundled or telecommunications (SIM only) contract for periods ranging between 2 and 3 years.

For bundled packages (equipment and telecommunication services), the Group accounts for individual products and services separately if they are distinct. The consideration is allocated between separate products and services in a bundle and is based on the stand-alone selling prices. The stand-alone selling prices are determined and based on the list prices at which the Group sells the mobile devices and telecommunication services separately. Telecommunication services revenue is recognised at the earlier of usage or expiry.

The Group determines whether the nature of the transaction, in a bundled contract, is a performance obligation provided by the Group or by a third party.

With a bundled package, a customer signs two contracts; a contract with the Group for telecommunication services and a contract with a third party for the device (i.e., devices provided in a bundled arrangement are financed by the third party through a handset financing arrangement).

For device sales made to intermediaries such as franchisees and indirect channel dealers, revenue is recognised if control of the device has transferred to the intermediary and the intermediary has no right to return the device to receive a refund; otherwise, revenue recognition is deferred until the sale of the device to an end customer by the intermediary or the expiry of any right of return.

When the Group has control of goods or services prior to delivery to a customer, then the Group is the principal in the sale to the customer. As a principal, receipts from, and payments to, suppliers are reported on a gross basis in revenue and operating costs. If another party has control of goods or services prior to transfer to a customer, then the Group is acting as an agent for the other party and revenue (e.g., Value-added Services ("VAS")) in respect of the relevant performance obligation is recognised net of any related payments to the supplier and represents the margin earned by the Group.

Accounting policies continued

for the year ended 31 May 2026

3. Material accounting policies continued

3.12 Revenue from contracts with customers continued

The following table provides information about the nature and timing of the satisfaction of performance obligations in contracts with customers, including significant payment terms, and the related revenue recognition policies:

Type of product/service	Nature and timing of satisfaction of performance obligations, including significant payment terms	Revenue recognition policies
Wholesale revenue		
Wholesale services	This telecommunication service comprises revenue generated from Mobile Virtual Network Operators ("MVNO"), Mobile Virtual Network Enablement ("MVNE") and Business Service Providers ("BSP") customers. The Group provides additional products and services to MVNOs and BSPs such as: SIM cards, VAS and roaming services. The contracts are typically month to month and the telecommunication services are recognised in the manner described above for contract revenue. Due to the short-term nature of each contract no significant finance component exists.	Revenue is recognised over time as the customer simultaneously receives access to and uses the network services. The Group satisfies the performance obligation when the customer has access to the network and utilises voice, SMS, and data connectivity services.
Prepaid and postpaid revenue		
Postpaid and prepaid distribution services	This revenue stream comprises Voice, SMS, Data, WASP and Contract charges. Payment for prepaid is collected in cash at the point of purchase of airtime vouchers by the customer. Payment terms differ in relation to different dealers ranging from cash on delivery (COD) to 60 days. Contract customers are billed the month after services have been provided and payment is collected monthly in equal instalments over the period of the contract.	Revenue is recognised over time as the customer simultaneously receives access to and uses the network services. The Group satisfies the performance obligation when the customer has access to the network and utilises voice, SMS, and data connectivity services. The Group allocates a portion of the revenue received to voucher discounts. Payments received in advance from customers for prepaid services are deferred and included in contract liabilities. The contract liability is recognised as revenue based on usage or breakage.
Other revenue		
FTTH services	Fibre-to-the-home comprises line rental, connection fee and installation fee. Revenue is recognised as the customer simultaneously receives access to and uses the network services. Invoices are generated in advance of the service being provided. Invoices are payable in advance of the service being provided to the customer. Payments received in advance are included in contract liabilities.	Revenue is recognised over time as the customer simultaneously receives access to and uses the network services. The Group satisfies the performance obligation when the customer has access to the network and utilises connectivity services.

Accounting policies continued

for the year ended 31 May 2026

3. Material accounting policies continued

3.12 Revenue from contracts with customers continued

Type of product/service	Nature and timing of satisfaction of performance obligations, including significant payment terms	Revenue recognition policies
Equipment revenue		
Equipment – Handsets (devices)	In a post-paid contract, when the Group sells a device as part of a bundling offering, the Group is principal as at reporting period May 2026 (Refer to note 4.1.1). However, the Group continues to sell devices on a prepaid basis and in those transactions the Group is a principal. Accordingly, the Group recognises full revenue in respect of devices.	Revenue is recognised at a point in time when the customer takes control of the device.
Roaming revenue		
Incoming (Interconnect)	Customers from other service providers are allowed to terminate their calls on the Group's network. The performance obligation is met when calls from the other service providers terminate on the Group's network. Payment for interconnect is generally received monthly based on interconnect traffic (termination) of calls for the month and is considered not to have a significant financing component.	The service is provided at a point in time when the calls from the other service providers are allowed to terminate on the network.
Roaming revenue	This revenue relates to the network spectrum of the Group. External parties are allowed access to the network spectrum at an agreed fee. The performance obligation is met when the external party uses the network spectrum. Payment for roaming services is generally received monthly as per agreed rates.	The service is provided over time as and when the external parties use the network spectrum.
Interest revenue (trading)		
Interest revenue (trading)	Interest revenue (trading) represents the unwinding of the significant financing component arising from long-term handset instalment receivable of Comm Equipment Company (Pty) Ltd relating to bundled service fees. The financing component is recognised over the contract term using the effective interest method. The Group recognises revenue from bundled service fees over time using a time-based output method (straight-line basis) over the 24 or 36 months contract term.	Revenue is recognised over time over the term of the contract.

Accounting policies continued

for the year ended 31 May 2026

3. Material accounting policies continued

3.13 Employee benefits

Short-term employee benefits

The cost of all short-term employee benefits is. The cost is recognised as an expense in profit or loss during the reporting period in which the employee renders the related service.

Liabilities for employee entitlements to wages, salaries and annual leave represent the amount which the Group has a present obligation to pay as a result of employee services provided during the reporting period.

Defined contribution plan

The Group provides retirement benefits to all permanent employees through a defined contribution pension fund, which is subject to the Pension Fund Act of South Africa, 1956 as amended. Contributions to defined contribution pension funds are recognised as an expense in profit or loss as the related service is provided.

3.14 Finance income and finance costs

Finance income and finance costs are recognised in profit or loss using the effective interest rate method as the instruments to which this relates are measured at amortised cost.

Finance income comprises interest income from funds invested.

Finance costs comprise interest expenses on borrowings and lease liabilities and working capital.

4. Significant judgements and estimates

In preparing these financial statements, management has made judgements and estimates that affect the application of the Group's accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

4.1 Judgements

Information about judgements made in applying accounting policies that have the most significant effects on the amounts recognised in the financial statements is as follows:

4.1.1 Sale of handsets

Significant judgement is required in respect of handset sales. The entity is considered to be a principal in such transactions if it controls the handsets before the handset is transferred to a customer.

Cell C Service Provider has an agreement with Comm Equipment Company Proprietary Limited (CEC) for the facilitation of the sale of handsets. The contract allows CEC to control the inventory and the risks related to the inventory up to the point of sale to the customer, therefore CEC controls the inventory in the Cell C warehouse. Cell C Service Provider is responsible for providing telecommunication services to the customer, all the administration in respect of the sale and distribution of handsets included as part of a contract with a customer and the marketing and promotion of the services offered by the Group.

Prior to the acquisition of CEC, management has applied the following judgements:
- Cell C Service Provider obtains no control of handsets that are purchased by CEC for resale to the Group's postpaid customers, the proceeds from the sale of handsets belongs to CEC and the pricing decisions of these devices is directed by CEC (i.e., Cell C Service Provider has no risks or rewards from the ownership and sale of handsets). Management has concluded that the Cell C Service Provider acts as an agent in respect of the sale of handsets to postpaid subscribers..
- With risks and rewards of owning handsets that are sold to postpaid customers resting with CEC, the control of these handsets is also with CEC. Cell C Service Provider, therefore, does not account for handsets controlled by CEC as its inventory.

Based on management's assessment, the Group acted as an agent in respect of handset sales during the period from 1 June 2025 to 30 November 2025. Post acquisition date of CEC, the Group accounts for gross revenue in respect of handset sales as CEC is now a subsidiary. From 1 December 2025, the intercompany handset sale is eliminated on consolidation as an intercompany transaction.

Accounting policies continued

for the year ended 31 May 2026

4. Significant judgements and estimates continued

4.1 Judgements continued

4.1.2 Significant financing component

Management considered its contracts with customers to determine whether they contain a significant financing component. Specifically, the Group has elected to apply the practical expedient in IFRS 15 to not account for a financing component when the period between the time of providing goods and services compared to payment timing is 12 months or less.

Prior to 30 November 2025:
The Group sold all devices it controlled on a cash only basis to prepaid customer, therefore, there was no time difference between when the payment received and when the devices are transferred to the customers. Management concluded that none of these contracts with customers contained a significant financing component.

Post 30 November 2025:
Post acquisition date of CEC, the Group sells devices under subscription-based contractual arrangements to post-paid customers. Revenue on the devices is measured at the effective selling price. Contracts with 24- or 36-months payment terms contain a significant financing component. The transaction price is adjusted to reflect the cash selling price at delivery, and the implicit interest is unbundled and recognised over time as interest revenue (trading) using the effective interest method under IFRS 9.

4.1.3 Recognition in respect of breakage

The Group recognises breakage based on the pattern of prepaid usage or when the likelihood of the customer exercising its remaining rights become remote. Revenue from breakage is recognised when the Group expects to be entitled to the amount, when it is highly probable, and that it would not result in significant reversal of the cumulative revenue recognised.

4.1.4 Contingent liabilities

The Group applies judgement in assessing the potential outcome of uncertain legal matters. The Group does not recognise contingent liabilities in the statement of financial position until future events indicate that it is probable that an outflow of resources will take place and a reliable estimate can be made, at which time a provision is recognised. The Group has disclosed contingent liabilities where economic outflows are considered possible but not probable.

4.1.5 Modification of financial liabilities (borrowings)

In May 2025, management approved a restructuring strategy to list Cell C Limited on the JSE. As part of this strategy, certain loans were converted into equity. The debt-to-equity conversion resulted in changes to the terms of the financial liabilities, requiring the application of significant judgement.

The Group applied judgement in assessing whether the modification of the financial liabilities was substantial. This assessment involved comparing the present value of the remaining contractual cash flows under the original terms with those arising from the debt-to-equity conversion. As the difference exceeded 10% and the settlement in shares is substantially different from settlement in cash as per the original agreement, the modifications were deemed to be substantial. Accordingly, the original financial liabilities were derecognised, and the modified liabilities were recognised at fair value through profit or loss, with the resulting gain recognised in profit or loss. For further details of this transaction refer to the Listing overview and note 19.

4.2 Assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties at 31 May 2026 that have a significant risk of resulting in a material adjustment to the carrying amounts of assets and liabilities in the next reporting period is as follows:

4.2.1 Estimation of useful lives

The estimation of useful lives is based on certain indicators such as historical experience and anticipation of future events, which may impact the useful lives, such as changes in technology, regulatory or economic environment. The useful lives will also depend on the future performance of the assets as well as management's judgement of the period over which economic benefits will be derived from the assets. Useful lives are reviewed on an annual basis with the effects of any changes in estimate accounted for on a prospective basis.

A significant judgement was made in determining the useful life of an internally generated intangible asset: Next Generation Billing Support System (NGBSS). This asset was developed internally and meets the recognition criteria set out in IAS 38 – Intangible Assets. Based on the expected useful life and anticipated technological evolution, management determined that a finite useful life of five (5) years is appropriate.

4.2.2 Impairment of financial assets

Loss allowances for financial assets are based on assumptions about risk of default and expected loss rates. A key source of estimation uncertainty exists in the determination of the loss rates of trade receivables applied in determining the expected credit losses. The Group applies judgement in selecting the inputs to the impairment calculation, based on the Group's past history, existing market conditions as well as forward-looking estimates at each reporting date.

Details of the key assumptions and inputs used are disclosed in note 40.

Accounting policies continued

for the year ended 31 May 2026

4. Significant judgements and estimates continued

4.2 Assumptions and estimation uncertainties continued

4.2.3 Impairment of non-financial assets

An impairment loss is recognised in profit or loss if the carrying amount of an asset or a cash-generating unit exceeds its estimated recoverable amount. For the purpose of impairment testing, assets are grouped together into CGUs. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs of disposal. In assessing value in use and fair value less costs of disposal, the estimated future cash flows are discounted to their present value using an appropriate discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Goodwill arising from business combinations is allocated to cash-generating unit or the group of cash-generating units that are expected to benefit from the synergies of the combination.

Impairment losses recognised in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the units, and then to reduce the carrying amounts of the other assets in the unit (group of units) on a pro rata basis.

An impairment loss is subsequently reversed only to the extent that the asset or cash-generating unit's carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised. A reversal of an impairment loss is recognised immediately in profit or loss.

An impairment loss in respect of goodwill is not reversed.

4.2.4 Impairment of goodwill

The Group tests goodwill for impairment on an annual basis and whenever there is an impairment indicator identified by management, in accordance with the accounting policy. Impairment is determined by assessing the recoverable amount of the cash-generating unit to which the goodwill relates. Where the recoverable amount of the cash-generating unit is less than the carrying amount, an impairment is recognised. The recoverable amounts of cash-generating units (CGUs) have been determined based on value in use calculations being the estimated future cash flows discounted to their present value using an appropriate discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. These calculations are performed internally by the Group and require the use of estimates and assumptions.

Source of estimation uncertainty

The input factors most sensitive to change are management estimates of future cash flows based on budgets and forecasts, growth rates, terminal rates and discount rates. Further detail on these assumptions has been disclosed in note. The Group has performed a sensitivity analysis by varying these input factors by a reasonably possible margin and assessing whether the changes in input factors result in the goodwill being impaired. Goodwill impairment is nil in the current year.

4.2.5 Deferred tax – recognition of deferred tax asset from assessed losses

A deferred tax asset is recognised for the carry forward of unused tax losses to the extent that it is probable that future taxable profit will be available against which the unused tax losses can be utilised. The deferred tax asset is recognised to the extent that the Group has sufficient taxable temporary differences or there is convincing evidence that sufficient taxable profit will be available against which the unused tax losses can be utilised.

In determining whether it is probable that future taxable profits will be available against which the deferred tax assets can be used, the Group has estimated the probability of future taxable profits based on budgeted forecasts of the Group and the probable reversal of taxable temporary differences in the future.

Medium-term forecasts (1 to 5 years) are prepared and reviewed by management on a bi-annual basis which includes estimates and assumptions regarding economic growth, interest rates, inflation and applicable factors. Management exercises judgement in determining whether forecasts are likely to be achieved and, in turn, whether the deferred tax assets will be recoverable.

The Group's deferred tax assets for the current year amounted to R1.89 billion (2025: R2.02 billion) refer to note 15. Management was able to demonstrate with significant certainty that the Group will generate future taxable profits to utilise the unused tax loss and it was able to determine that the temporary differences would be utilised based on medium-term forecasts.

Disclosures about uncertainties in the financial statements

The Group has considered the potential impact of climate-related risks and uncertainties on its financial statements in accordance with the applicable IFRS Accounting Standards. Based on this assessment, the impact of climate-related risks on the Group's financial statements has been determined to be immaterial. This conclusion considers the Group's transition to a light capital expenditure model for its network assets and the fact that severe weather events, including heavy rainfall and flooding, have not had a material impact on the Group's operations to date.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

5. New and revised IFRS accounting standards

New and revised IFRS accounting standards in issue but not yet effective

The standards, interpretations and amendments listed below will only be effective in future reporting periods. It is expected that the Group will adopt the pronouncements on their respective effective dates, however, the Group has not early adopted the new or amended standards in preparing these financial statements.

The following amended standards and interpretations are applicable to the Group. Management has assessed the impact of the standards and interpretations below.

Standard	Description of amendments	Effective date for annual periods beginning on or after
Amendments to the Classification and Measurement of Financial Instruments – IFRS 9 (Financial Instruments)	Amendments to the classification and measurement of the financial instruments. Clarifying the classification of financial assets and ESG and similar features. Clarifying the date on which a financial asset and financial liability is derecognised, when a liability is settled through electronic payment systems. This is not expected to have a significant impact on the Group.	Year ending 31 May 2027
Amendments to the Classification and Measurement of Financial Instruments – IFRS 7 (Financial Instruments: Disclosures)	Amendments to the classification and measurement of the financial instruments. IFRS 7 introduces the additional disclosure requirements to enhance transparency for investors regarding investments in equity instruments designated at fair value through OCI and financial instruments with contingent features, for example features tied to ESG-linked targets. This is not expected to have a significant impact on the Group.	Year ending 31 May 2027
Annual Improvements to IFRS Accounting Standards Volume 11 – Amendments to IFRS 1 (First-time Adoption of International Financial Reporting Standards), IFRS 7, IFRS 9, IFRS 10 (Consolidated Financial Statements) and IAS 7 (Statement of Cash flows)	The amendments were made to address potential inconsistencies and potential confusions in the standards relating to: IFRS 1 dealing with hedge accounting by a first-time adopter IFRS 7 dealing with gain or loss on derecognition and disclosures in the implementation guidance IFRS 9 dealing with lessee derecognition of lease liabilities and transaction price IFRS 10 dealing with Determination of a 'de facto agent'; and IAS 7 dealing with the term 'cost method'. The above is not expected to have a significant impact on the Group.	Year ending 31 May 2027
Contracts Referencing Nature-dependent Electricity – Amendments to IFRS 9 and IFRS 7	The amendments made to IFRS 9 include detail on which PPA contracts can be used in hedge accounting, and the specific conditions allowed in such hedge relationships. This is not expected to have a significant impact on the Group.	Year ending 31 May 2027

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

5. New and revised IFRS accounting standards continued

New and revised IFRS accounting standards in issue but not yet effective continued

Standard	Description of amendments	Effective date for annual periods beginning on or after
Translation to a Hyperinflationary Presentation Currency (Amendments to IAS 21)	The amendments introduce new translation requirements for entities with a non-hyperinflationary functional currency and a hyperinflationary presentation currency. Under the revised provisions, all amounts – including assets, liabilities, equity, income, expenses, and comparative information – must be translated using the closing exchange rate at the date of the most recent statement of financial position. Previously, assets and liabilities were translated at the closing rate, income and expenses were translated using the exchange rates at the dates of the underlying transactions. This is not expected to have a significant impact on the Group.	Year ending 31 May 2027
IFRS 18 (Presentation and Disclosure in the Financial Statements)	Improved comparability in the statement of profit or loss (income statement) through the introduction of three defined categories, operating, investing and financing but essentially does not change net profit. Introduces enhanced transparency of management defined performance measures which will be part of the audited financial statements. Further provides guidance on more useful grouping of information in the financial statements through enhanced guidance on how to organise information. This is expected to have a significant impact on the Group, and the impact is being assessed.	Year ending 31 May 2028
IFRS 19 (Subsidiaries Without Public Accountability Disclosures)	Permits eligible subsidiaries to use the same recognition, measurement and presentation as IFRS Accounting Standards, but allows for specific reduced disclosure area. Subsidiaries are eligible to apply IFRS 19 if they do not have public accountability and their parent company applies IFRS Accounting Standards in their consolidated financial statements. This amendment will not be applicable to the Group.	Year ending 31 May 2028
Regulatory Assets and Regulatory Liabilities (IFRS 20)	IFRS 20 establishes the requirements for the recognition, measurement, presentation, and disclosure of regulatory assets, regulatory liabilities, regulatory income, and regulatory expense. The standard introduces requirements that supplement the information entities already provide under existing IFRS Accounting Standards, including IFRS 15 Revenue from Contracts with Customers. These additional requirements enable users of financial statements to better understand the total allowed compensation for regulatory goods or services provided during each reporting period, together with the related rights and obligations arising from the regulatory agreement. The income, expenses, assets, and liabilities recognized under IFRS 20 complement, rather than replace, the information reported under IFRS 15 and other applicable IFRS Accounting Standards. This is not expected to have a significant impact on the Group.	Year ending 31 May 2029

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

6. Share performance

Figures in R'000	Group 2026	Group 2025
Headline earnings		
Earnings attributable to ordinary equity holders of the parent		
Adjustments:	**4 160 285**	2 217 052
Net profit on disposal of property, plant and equipment and intangible assets	**(6 330)**	(457)
Headline earnings	**4 153 955**	2 216 595
Basic	**4 160 285**	2 217 052
Diluted	**4 160 285**	2 217 052
Weighted average number of shares ('000)		
Basic		
Ordinary number of shares	**177 701 912**	1 492 588
Diluted		
Ordinary number of shares	**177 701 912**	1 492 588
Earnings per share (cents)		
– Basic	**2 341**	148 537
– Diluted	**2 341**	148 537
Headlines earnings per share (cents)		
– Basic	**2 338**	148 507
– Diluted	**2 338**	148 507

The weighted average number of shares outstanding for the year has been adjusted to reflect the restructuring of the Group that occurred on 22 November 2025 and the reverse acquisition of Cell C Limited by Cell C Holdings on 23 November 2025 and the listing of Cell C Holdings on the Johannesburg Stock Exchange (JSE) on 27 November 2025.

The number of shares outstanding prior to the acquisition have been adjusted with exchange ratio of 1 Cell C Holdings share for every 979 Cell C Limited's shares held and pro-rated for the number of days. The number of shares post the acquisition have been pro-rated for the number of days. Accordingly, the weighted average shares outstanding represent the number of shares of Cell C Holdings for all periods presented. Refer to note 2.

7. Segmental reporting

The Chief Executive Officer's ("CEO") office consisting of the CEO, the Chief Financial Officer ("CFO") and the Chief Executive team ("EXCO") are the chief operating decision maker ("CODM") within the meaning of IFRS 8. Operating segments are determined on the reports received by the CODM that are used to make strategic decisions.

The CODM considers the business from an operating perspective. The Group operates in one geographic segment, the Republic of South Africa. The operating segment comprises of the 2 main operations defined by service type:

Sales revenue operations: the Group derives all revenue from the sale of telecommunications services to customers. The Sales revenue operation is then further disaggregated by product type as follows:
- Prepaid revenue: This revenue stream comprises voice, SMS, data, and other service revenue earned from customers that prepay for their services.
- Postpaid revenue: This revenue stream comprises voice, SMS, data, and other service revenue earned from customers that pay for their services after having received them as per the contractual terms.
- Wholesale revenue: This telecommunication service comprises revenue generated from Mobile Virtual Network Operators ("MVNO"), Mobile Virtual Network Enablement ("MVNE") and other Business Service Providers ("BSP") corporate customers.
- Roaming revenue: The provision of services to other MVNO's to use the Group's spectrum or network, including but not limited to the termination of services.
- Other revenue: A combination of supplementary and complimentary telecommunications services provided to both enterprise and non-enterprise customers, including elements like Fiber to the home and to the business. Strategic future growth is expected in the revenue segment.
- Interest revenue (trading) represents the unwinding of the significant financing component arising from long-term handset instalment receivable of Comm Equipment Company (Pty) Ltd relating to bundled service fees. The financing component is recognised over the contract term using the effective interest method.

Equipment Operation: The Group derives revenue from the sale of telecommunications related equipment to both consumer and corporate customers.

The administrative operations are not deemed to be a segment by management and are considered to form part of the main Service and Equipment revenue operating segment because these are supporting the operation of all segments.

Management assesses the performance of the operating segments on EBITDA.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

7. Segmental reporting continued

The segment assets and liabilities comprise all assets and liabilities that are employed by and are directly attributable to the segment, or can be allocated to the segment on a reasonable basis.

The segment information provided to the CODM for the reportable segments for the reporting period ended 31 May 2026 is as follows:

	Service revenue operations					Equipment revenue operations		
Figures in R'000	Prepaid	Postpaid	Wholesale	Roaming	Other*	Equipment#	Interest revenue	Total revenue^
For the year ended 31 May 2026								
Revenue	5 809 294	2 322 124	1 759 711	1 533 054	217 221	879 029	120 885	12 641 318
Other income	2 240 396	895 544	678 645	591 233	83 773	339 004	46 620	4 875 215
Direct expenses	(3 541 874)	(1 415 778)	(1 072 880)	(934 689)	(132 437)	(535 936)	(73 703)	(7 707 297)
Employee benefits expense	(456 079)	(182 306)	(138 152)	(120 358)	(17 054)	(69 011)	(9 491)	(992 451)
Depreciation and amortisation	(327 762)	(131 015)	(99 283)	(86 495)	(12 256)	(49 595)	(6 820)	(713 226)
Impairment loss on trade receivables	(107 865)	(43 116)	(32 674)	(28 465)	(4 034)	(16 321)	(2 245)	(234 720)
Other expenses	(1 412 445)	(564 591)	(427 848)	(372 739)	(52 814)	(213 723)	(29 391)	(3 073 551)
Ordinary items	(1 093 955)	(437 282)	(331 373)	(288 691)	(40 905)	(165 531)	(22 764)	(2 380 501)
Extra-ordinary items~	(318 490)	(127 309)	(96 475)	(84 048)	(11 909)	(48 192)	(6 627)	(693 050)
Profit before net finance costs, equity-accounted profit and tax	2 203 665	880 864	667 519	581 541	82 399	333 447	45 855	4 795 288
Finance income	6 036	2 413	1 828	1 593	225	913	126	13 134
Finance costs	(357 867)	(143 049)	(108 403)	(94 440)	(13 381)	(54 150)	(7 447)	(778 737)
Share of profit from equity-accounted investments	33	13	10	9	1	5	1	72
Profit before tax	1 851 867	740 241	560 953	488 702	69 244	280 215	38 535	4 029 757
Income tax credit	59 984	23 977	18 170	15 829	2 245	9 076	1 248	130 529
Profit for the year	1 911 851	764 218	579 123	504 531	71 489	289 291	39 783	4 160 286
EBITDA								
Profit for the year	1 911 851	764 218	579 123	504 531	71 489	289 291	39 784	4 160 287
Income tax credit	(59 984)	(23 977)	(18 170)	(15 829)	(2 243)	(9 076)	(1 248)	(130 527)
Depreciation and amortisation	327 762	131 015	99 283	86 495	12 256	49 595	6 820	713 226
Net finance costs	351 831	140 636	106 574	92 847	13 156	53 237	7 321	765 602
Share of profit from equity-accounted investments	(33)	(13)	(10)	(9)	(1)	(5)	(1)	(72)
Total EBITDA for the reportable segment	2 531 427	1 011 879	766 800	668 035	94 657	383 042	52 676	5 508 516
Total assets	4 705 192	1 880 786	1 425 264	1 241 685	175 936	711 962	97 910	10 238 735
Total liabilities	(3 165 881)	(1 265 484)	(958 987)	(835 466)	(118 378)	(479 043)	(65 879)	(6 889 118)

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

7. Segmental reporting continued

Figures in R'000	Service revenue operations Prepaid*	Postpaid	Wholesale	Roaming	Equipment Other[#]	Equipment[^]	Total revenue[†]
For the year ended 31 May 2025							
Revenue	5 293 939	2 293 527	1 466 494	1 693 509	271 928	118 770	11 138 166
Other income	626 953	271 619	173 675	200 560	32 204	14 066	1 319 077
Direct expenses	(3 669 716)	(1 589 854)	(1 016 562)	(1 173 927)	(188 498)	(82 331)	(7 720 888)
Employee benefits expense	(388 880)	(168 477)	(107 725)	(124 401)	(19 975)	(8 725)	(818 183)
Depreciation and amortisation	(241 279)	(104 531)	(66 838)	(77 184)	(12 394)	(5 413)	(507 638)
Loss on derecognition of capitalised contract costs	–	–	–	–	–	–	–
Impairment loss on trade receivables	(492)	(213)	(136)	(157)	(25)	(11)	(1 034)
Other expenses	(861 588)	(373 271)	(238 672)	(275 618)	(44 256)	(19 330)	(1 812 736)
Profit before net finance costs, equity-accounted profit and tax	758 937	328 801	210 236	242 781	38 984	17 027	1 596 764
Finance income	5 244	2 272	1 453	1 677	269	118	11 032
Finance costs	(623 466)	(270 108)	(172 709)	(199 444)	(32 025)	(13 988)	(1 311 740)
Share of profit from equity-accounted investments	206	89	57	66	11	5	434
Profit before tax	140 921	61 054	39 036	45 079	7 239	3 162	296 491
Income tax credit	912 837	395 474	252 869	292 013	46 889	20 480	1 920 562
Profit for the year	1 053 759	456 529	291 905	337 092	54 127	23 641	2 217 052
EBITDA							
Profit for the year	1 053 759	456 527	291 906	337 093	54 127	23 641	2 217 052
Income tax expense	(912 837)	(395 474)	(252 869)	(292 013)	(46 889)	(20 480)	(1 920 562)
Depreciation and amortisation	241 279	104 531	66 838	77 184	12 394	5 413	507 638
Net finance costs	618 223	267 837	171 256	197 767	31 756	13 870	1 300 708
Share of profit from equity-accounted investments	(206)	(89)	(57)	(66)	(11)	(5)	(434)
Total EBITDA for the reportable segment	1 000 216	433 330	277 074	319 965	51 377	22 440	2 104 402
Total assets	2 411 457	1 044 731	668 007	771 415	123 867	54 101	5 073 577
Total liabilities	(6 358 679)	(2 754 811)	(1 761 441)	(2 034 115)	(326 619)	(142 658)	(13 378 324)

* Prepaid revenue includes voucher discounts.
[#] Other revenue comprises bulk SMS revenue and FTTH revenue.
[^] The Group identified two segments, namely Other and Equipment, which fell below the quantitative reporting thresholds. However, management has elected to disclose these segments to ensure the financial statements are complete and provide relevant and useful information to users.
[†] There are no reconciling items between the total of the reportable segments' measures of profit or loss and the Group's profit or loss before tax.
[–] Includes IPO-related transactions of R233 million, penalties arising from the termination of leases of R118 million, and write-offs of trade receivables and trade payables amounting to R575 million.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

8. Property, plant and equipment

8.1 Balances at year end and movements for the year

Figures in R'000	Network assets	Leasehold improve-ments	Office equipment	Computer equipment	Building right-of-use-asset	Network and equipment right-of-use-asset	Motor vehicles right-of-use-asset*	Total
Reconciliation for the year ended 31 May 2026								
Balance at 1 June 2025								
At cost	**736 901**	**73 989**	**111 554**	**319 244**	**733 870**	**3 494 626**	**5 529**	**5 475 713**
Accumulated depreciation	**(635 397)**	**(21 541)**	**(109 702)**	**(284 672)**	**(568 979)**	**(3 393 877)**	**(2 283)**	**(5 016 451)**
Carrying amount	**101 504**	**52 448**	**1 852**	**34 572**	**164 891**	**100 749**	**3 246**	**459 262**
Additions*	**34 145**	**91 721**		**27 523**	**56 933**	**121 492**	**3 204**	**335 018**
Acquired through business combinations	**–**	**–**	**35**	**436**	**–**	**–**	**96**	**567**
Depreciation	**(26 354)**	**(24 880)**	**(267)**	**(19 523)**	**(67 481)**	**(72 719)**	**(2 864)**	**(214 088)**
Increase in leases due to modification#	**–**	**–**	**–**	**–**	**97 737**	**57 351**	**–**	**155 088**
Retirement	**–**	**–**		**–**	**(2 678)**	**(1 792)**	**–**	**(4 470)**
Disposals^	**–**	**–**	**(7)**	**(19)**	**–**	**–**	**–**	**(26)**
Transfer†	**(7 660)**	**–**	**–**	**–**	**–**	**–**	**–**	**(7 660)**
Closing balance at 31 May 2026								
At cost	**687 474**	**150 537**	**72 246**	**346 505**	**857 893**	**2 019 450**	**6 182**	**4 140 287**
Accumulated depreciation	**(585 839)**	**(31 249)**	**(70 633)**	**(303 516)**	**(608 491)**	**(1 814 369)**	**(2 500)**	**(3 416 597)**
Carrying amount	**101 635**	**119 288**	**1 613**	**42 989**	**249 402**	**205 081**	**3 682**	**723 690**
Reconciliation for the year ended 31 May 2025								
Balance at 1 June 2024								
At cost	694 356	68 751	190 133	1 233 903	977 352	5 543 066	29 417	8 736 978
Accumulated depreciation	(618 529)	(67 011)	(187 977)	(1 157 428)	(748 015)	(5 419 296)	(29 145)	(8 227 401)
Carrying amount	75 827	1 740	2 156	76 475	229 337	123 770	272	509 577
Additions	39 566	54 688	–	38 585	42 149	89 631	4 739	269 358
Depreciation	(19 115)	(3 980)	(303)	(11 327)	(105 735)	(90 706)	(1 738)	(232 904)
Terminations	–				(860)	(21 946)	(27)	(22 833)
Transfer	5 226	–	–	(69 161)	–	–	–	(63 935)
Closing balance at 31 May 2025								
At cost	736 901	73 989	111 554	319 244	733 870	3 494 626	5 529	5 475 713
Accumulated depreciation	(635 397)	(21 541)	(109 702)	(284 672)	(568 979)	(3 393 877)	(2 283)	(5 016 451)
Carrying amount	101 504	52 448	1 852	34 572	164 891	100 749	3 246	459 262

* Included in motor vehicles right-of-use asset category are motor vehicles acquired as part of the acquisition of CEC during the current financial year. The carrying amount at the end of current year is nil.

\# During the year, the Group settled some of its outstanding lease liabilities, the remaining leases were then renegotiated resulting in a remeasurement of the lease liability at the modification date, with a corresponding adjustment made to the right-of-use asset.

^ A right-of-use asset with a carrying amount of R0.29 million was derecognised during the period as part of the listing transaction.

† This relates to transfers to intangible assets.

No changes were made to the useful lives or residual values of property, plant and equipment based on the current period review. No indicators of impairment were present based on the current period review and, therefore, no impairment loss was recognised. No current contractual commitments exist to purchase items of property, plant and equipment. Property, plant and equipment serve as security for the security package provided in respect of borrowings. Refer to note 19.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

8. Property, plant and equipment continued

8.2 The following assets with zero book values have been derecognised in the current period:

Figures in R'000	Network assets	Leasehold improve-ments	Office equipment	Computer equipment	Total
Number of assets	22	121	696	26	865
Cost	20 714	15 174	39 290	1 419	76 597
Accumulated depreciation	(20 714)	(15 174)	(39 290)	(1 419)	(76 597)
Carrying amount	–	–	–	–	–

The closing cost balances include items with a nil asset value for the previous reporting period amounting to:

Figures in R'000	Network assets	Leasehold improve-ments	Office equipment	Computer equipment	Network and equipment right-of-use assets	Total
Number of assets	121	25	8 426	577	12	9 161
Cost	529 443	1 542	62 810	258 552	34 860	887 207
Accumulated depreciation	(216 651)	(768)	(56 603)	(214 094)	(14 361)	(502 477)
Impairment	(312 792)	(774)	(6 207)	(44 458)	(20 499)	(384 730)
Carrying amount	–	–	–	–	–	–

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

9. Intangible assets

9.1 Balances at year end and movements for the year

Figures in R'000	Computer software	Purchased subscriber base	Customer relationship	Reacquired right	Indefeasible right of use	Total
Reconciliation for the year ended 31 May 2026						
Balance at 1 June 2025						
At cost	1 755 011	15 000	–	–	153 580	1 923 591
Accumulated amortisation	(441 781)	–	–	–	(143 296)	(585 077)
Carrying amount	1 313 230	15 000	–	–	10 284	1 338 514
Additions	656 828	–			–	656 828
Acquisitions through business combinations	3 138	–	120 154	942 029	–	1 065 321
Amortisation	(340 571)	–	(15 019)	(117 754)	(1 176)	(474 520)
Transfer	7 660	–	–	–	–	7 660
Closing balance at 31 May 2026						
At cost	2 454 830	15 000	120 154	942 029	153 580	3 685 593
Accumulated amortisation	(814 546)	–	(15 019)	(117 754)	(144 472)	(1 091 791)
Carrying amount	1 640 284	15 000	105 135	824 275	9 108	2 593 802

During 2021, the Group and CEC (which was a subsidiary of Blu Label at the time) entered into an arrangement to facilitate the Group's operation of its postpaid mobile telecommunications business. The right previously given to CEC to share in the subscription income of Cell C's postpaid business was identified as a reacquired right.

Figures in R'000	Computer software	Store buy-backs	Purchased subscriber base	Software under develop-ment	Indefeasible right of use	Total
Reconciliation for the year ended 31 May 2025						
Balance at 1 June 2024						
At cost	715 964	11 784	–	496 328	153 580	1 377 656
Accumulated amortisation	(229 349)	(4 914)	–	–	(142 120)	(376 383)
Carrying amount	486 615	6 870	–	496 328	11 460	1 001 273
Movements for the year ended 31 May 2025						
Additions	493 652	–	15 000	–	–	508 652
Amortisation	(234 080)	–	–	–	(1 176)	(235 256)
Transfers	567 133	(6 870)	–	(496 328)	–	63 935
Closing balance at 31 May 2025						
At cost	1 755 011	–	15 000	–	153 580	1 923 591
Accumulated amortisation	(441 781)	–	–	–	(143 296)	(585 077)
Carrying amount	1 313 230	–	15 000	–	10 284	1 338 514

No changes were made to the useful lives of intangible assets based on the current period review.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

9. Intangible assets continued

9.2 The following assets have been derecognised:

Figures in R'000	Computer software	Total
Number of assets	24	24
Cost	26 276	26 276
Accumulated depreciation	(26 276)	(26 276)
Carrying amount	–	–

9.2.1 The closing cost balances include items with a nil asset value for the current reporting period amounting to:

Figures in R'000	Computer software	Total
Number of assets	80	80
Cost	130 580	130 580
Accumulated depreciation	(130 580)	(130 580)
Carrying amount	–	–

10. Goodwill

Reconciliation of goodwill

	Goodwill	Total
Opening carrying amount	–	–
Acquired through business combinations	866 389	866 389
Closing carrying amount	866 389	866 389

The goodwill of R866 million relates to the acquisition of Comm Equipment Company Proprietary Limited during the year. Refer to note 27 for further details on this transaction.

Goodwill is allocated to a cash-generating unit for the purpose of impairment testing.

The Group identified cash-generating units at the lowest level at which cash inflows are largely independent of the cash inflows from other assets or groups of assets. The assessment concluded that Cell C Proprietary Limited and Comm Equipment Company Proprietary Limited comprise a single cash-generating unit, as their operations are highly integrated and their underlying assets are economically interdependent in generating cash inflows. The telecommunications network, customer relationships, device procurement, device financing, and related support services operate together to deliver a single customer offering and do not generate largely independent cash inflows. Therefore, the total goodwill of R866 million is allocated one cash-generating unit.

The recoverable amount has been determined based on value-in-use calculations. These calculations utilise cash flow projections derived from budget information for the forthcoming financial year that are approved as well as management forecasts for an extended five-year period, which are based on assumptions of the business, industry, and economic growth. Cash flows beyond this period are extrapolated using terminal growth rates, which do not exceed the expected long-term economic growth rate.

The key assumptions used for the value-in-use calculations are as follows:

	Goodwill	Total
Average EBITDA margin	23%	-
Terminal growth rate	3%	-
Pre-tax discount rate	20%	-

Average EBITDA margin: Management expects progressive margin expansion over the forecast period, driven by growth in higher-margin segments, continued cost control, direct cost efficiencies and the normalisation of non-recurring items. The assumption is primarily based on historical experience and approved internal forecasts, with consideration given to inherent risks in achieving the Group's strategic objectives, industry information and prevailing economic conditions.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

10. Goodwill continued

Pre-tax discount rate: This reflects the Group's elevated risk profile and a target capital structure of 70% debt and 30% equity. It incorporates a company-specific risk premium with assumptions of credit ratings, prevailing turnaround and financial risk factors. The rate has been applied consistently across the valuation scenarios and relevant cash flows, with restructuring benefits excluded to provide a prudent basis for valuation.

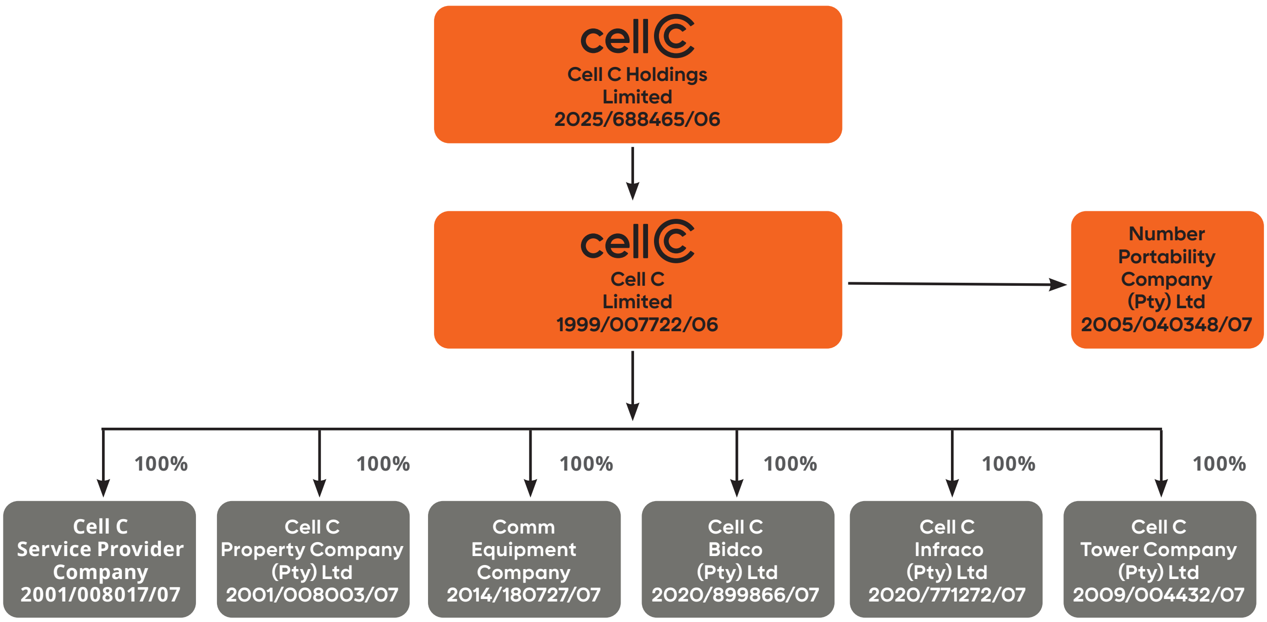
Terminal growth rate: This rate is consistent with the long-term average inflation and growth rates for the market in which the cash-generating unit operates and is used to extrapolate cash flows beyond the forecast period.

The goodwill balance was not impaired as at 31 May 2026 as, based on the recoverable amount, a headroom of R10.40 billion was identified. As such, no impairment loss was recognised.

The following inputs applied when calculating the value-in-use calculation would need to be increased/decreased by the following amounts before any impairments would be required:

Decrease in average EBITDA margin	Decrease in terminal growth rate	Increase in pre-tax discount rate	Excess over carrying amount
10%	2%	2%	10 390

11. Group composition



Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

11. Group composition continued

11.1 Equity-accounted investments

Investment in associate

Name	Principal activity	Country of incorporation	% holding 2026	% holding 2025
Mobile Number Portability Company Proprietary Limited	The joint venture administers the porting of mobile numbers across several mobile networks	South Africa	20	20

Figures in R'000	Group 2026	Group 2025
Reconciliation between proportionate investment and current investment value:		
Investment at cost	2 000	2 000
Equity-accounted share of profit	9 031	8 958
Opening balance	8 958	8 523
Current reporting period recognised in profit or loss	73	434
	11 031	10 958

Pursuant to the shareholder agreement, Cell C Proprietary Limited, a subsidiary of Cell C Holdings Limited, has the right to cast 20% of the vote at shareholder meetings of Number Portability Company Proprietary Limited. The year-end of the associate is 31 December and is different to that of the Group and the impact is not material.

12. Capitalised contract costs

Figures in R'000	Group 2026	Group 2025
Carrying amount at the beginning of the year	23 563	41 339
Amortisation	(24 618)	(39 477)
Additions capitalised	19 476	21 701
Carrying amount at the end of the year	18 421	23 563

13. Inventories

Figures in R'000	Group 2026	Group 2025
Inventories comprise:		
Finished goods	225 709	–
Merchandise	63 457	66 215
Provision for inventory obsolescence	(6 505)	(10 760)
	282 661	55 455

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

14. Trade and other receivables

Trade and other receivables comprise:

Figures in R'000	Group 2026	Group 2025
Financial assets		
Trade receivables	**1 703 737**	1 300 760
Expected credit loss allowance	**(252 116)**	(343 884)
	1 451 621	956 876
Deposits	**22 261**	22 091
	1 473 882	978 967
Non-financial assets		
Prepayments	**39 389**	–
Value added tax	**199 396**	–
	238 785	–
Total trade and other receivables	**1 712 667**	978 967
Movements in the expected credit loss allowance of trade and other receivables are as follows:		
At the beginning of the year	**(343 884)**	(342 850)
Expected credit loss/(recovery)	**(234 720)**	(1 034)
Acquired through business combination	**326 488**	–
At the end of the year	**(252 116)**	(343 884)

The carrying amounts of trade receivables represent the maximum credit exposure.

The carrying amounts of trade and other receivables approximates the fair value of the assets due to the short-term nature of the assets.

Information about the Group's exposure to credit risk and impairment of trade receivables is included in note 40.

15. Deferred tax

The analysis of deferred tax assets and deferred tax liabilities is as follows:

Figures in R'000	Group 2026	Group 2025
Accruals and provisions	**157 383**	64 192
Expected credit losses	**57 314**	76 043
Capitalised contract costs	**48 842**	48 842
Contract liabilities	**152 435**	1 046 527
Prepayments	**–**	(45)
Property, plant and equipment	**(151 453)**	289 290
Net deferred tax asset not recognised*	**(5 428 189)**	(5 037 851)
Other	**5 806**	–
Tax losses*	**7 116 604**	5 537 751
Acquired at business combination	**(66 533)**	–
Net deferred tax assets recognised	**1 892 209**	2 024 749

* Deferred tax assets is recognised on deductible temporary differences and on previously unrecognised assessed losses, as management was able to demonstrate probable future taxable profits. Deferred tax liabilities were also recognised on taxable temporary differences. After offsetting deferred tax assets and liabilities, a net deferred tax asset of R2 billion is presented in the statement of financial position. The recognition of this net deferred tax asset is primarily attributable to the recognition of previously unrecognised assessed losses.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

15. Deferred tax continued

The analysis of deferred tax assets and deferred tax liabilities is as follows:

Figures in R'000	Group 2026	Group 2025
Accruals and provisions	157 383	64 192
Expected credit loss	57 314	76 043
Capitalised contract costs	48 842	48 842
Contract liabilities	152 435	1 046 527
Prepayments	–	(45)
Property, plant and equipment	(151 453)	289 290
Net deferred tax asset not recognised*	(5 428 189)	(5 037 851)
Other	5 806	–
Tax losses*	7 116 604	5 537 751
Acquired at business combination	(66 533)	–
Net deferred tax assets recognised	**1 892 209**	2 024 749

* Deferred tax assets is recognised on deductible temporary differences and on previously unrecognised assessed losses, as management was able to demonstrate probable future taxable profits. Deferred tax liabilities were also recognised on taxable temporary differences. After offsetting deferred tax assets and liabilities, a net deferred tax asset of R1.89 billion (2025: R2.02 billion) made up of R2.02 billion deferred tax asset and R132.54 million deferred tax liability is presented in the statement of financial position. The recognition of this net deferred tax asset is primarily attributable to the recognition of previously unrecognised assessed losses.

	Group 2026	Group 2025
– Deferred tax assets to be recovered after more than 12 months	2 024 749	2 024 749
– Deferred tax liability to be recovered after more than 12 months	(132 540)	–
Net deferred tax assets	**1 892 209**	2 024 749
Deferred tax movements		
Deferred tax at the beginning of the year	2 024 749	–
Provisions and accruals	93 191	14 119
Tax losses	1 578 852	(963 005)
Capitalised contract costs		238
Contract liability	(894 091)	261 748
Deferred tax not recognised	(390 338)	2 726 880
Expected credit loss	(18 729)	(13 395)
Prepayments	45	4 096
Property, plant and equipment	(440 743)	(5 932)
Other	5 806	–
Acquired at business combination	(66 533)	–
	1 892 209	2 024 749

16. Current tax assets and liabilities

Figures in R'000	Group 2026	Group 2025
Tax payable beginning of the year	147 295	48 749
Provision for tax	58 624	119 951
Prior year (over)/under provision	(143 204)	(15 763)
Withholding tax	(1 114)	–
Payment	(50 583)	(5 642)
Acquired through business combination	(5 231)	–
Fines and penalties	5 563	–
	11 350	147 295
Current tax assets and liabilities comprise the following balances		
Current tax assets that cannot be set off	5 231	–
Total current tax asset per the group statement of financial position	**5 231**	–
Net current tax liability from all items being set off	(16 581)	(147 295)
Total current tax liability per the group statement of financial position	**(16 581)**	(147 295)

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

17. Advances to customers

Figures in R'000	Group 2026	Group 2025
Advances to customers	2 366 408	–
Expected credit loss allowance	(510 523)	
Carrying amount	1 855 885	–
Split between non-current and current portions		
Current assets	1 261 960	–
Non-current assets	593 925	–
	1 855 885	–
Reconciliation of allowance for credit losses		
At the beginning of the year	264 507	–
Expected credit loss allowance	246 016	–
At the end of the year	510 523	–

Advances to customers represent the activities of CEC, which provides financing for handsets to post-paid customers of the Group, refer to note 4.1.2. There were no book sales made by CEC post November 2025.

18. Loans receivable

Figures in R'000	Group 2026	Group 2025
Loans receivable comprise:		
Interest-free loan	11 361	–
Expected credit loss allowance	–	–
Carrying amount	11 361	–
Non-current asset of interest-free loan receivable	11 361	–
Current assets of interest-free loan receivable	–	–
	11 361	–

Based on the Group's assessment at the reporting date, the counterparty is considered to have a strong credit profile, with no history of default or significant payment delays and no identified adverse changes in its financial position or ability to meet its contractual obligations. Management therefore considers the probability of default to be negligible and has concluded that there has been no significant increase in credit risk since initial recognition.

The loans receivable is interest-free and unsecured, with no monthly capital or interest repayments. The loan is repayable in full at the end of three years. The loan been discounted at a market-related interest rate of 10.50% using the effective interest rate method.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

19. Borrowings

Interest-bearing borrowings:

Figures in R'000	Group 2026	Group 2025	
The Prepaid Company (TPC) Recapitalised loan 1*		2 235 103	The loan was secured and bore no interest for the first 24 months after 30 September 2022. Thereafter, the outstanding amount bore interest at a fixed rate of 10% per annum until month 42, and subsequently, the outstanding total repayment amount bore interest at prime plus 3% until month 66. Interest was payable in cash monthly from month 25. The capital repayment was due in month 42 and month 66.
The Prepaid Company (TPC) Reinvested debt loan 2*		272 773	The loan was secured and bore no interest for the first 24 months from 30 September 2022. Thereafter, it bore interest at a fixed rate of 10% per annum. The total amount was repayable at the end of month 42.
The Prepaid Company (TPC)*		65 088	The loan bore an interest rate of 0.06% and was repayable based on a cash sweeping mechanism.
Nedbank Limited*		435 070	This loan accrued interest on the face value at a fixed rate of 5% per annum for the first 24 months from 30 September 2022, which was capitalised. From month 25 to month 42, the outstanding debt accrued interest at a fixed rate of 10% per annum, payable monthly in arrears. R15.8 million was repaid quarterly from month 25 to month 36 (a total of R63.2 million). The quarterly repayments were applied firstly to the capitalised interest and thereafter to the outstanding face value of the loan.
The Prepaid Company ('TPC') *		457 968	The loan accrued interest on the face value at a fixed rate of 5% per annum for the first 24 months from the implementation of the restructure, which was capitalised. From month 25 to month 42, the outstanding debt accrued interest at a fixed rate of 10% per annum, payable monthly in arrears. R14.2 million was repaid quarterly from month 25 to month 36 (a total of R56.8 million). The quarterly repayments were applied firstly to the capitalised interest and thereafter to the outstanding face value of the loan.
Restructure implementation agreement - CEC		490 308	The loan was contractually scheduled to expire on 30 September 2027, bearing interest at 12% per annum compounded monthly in arrears. Following the acquisition of CEC during the current financial year, the loan became an intra-group balance and was eliminated in full upon consolidation.
African Bank Limited (African Bank)#	**1 350 817**	–	CEC entered into a borrowing agreement with African Bank on the 26th of November 2021 for a maximum facility of R1.9 billion at a market related interest rate of 11.50%. CEC fully repaid this facility and took out a new facility with African Bank on 14 December 2023 with a maximum facility value of R1.9 billion. This was a revolving facility for 12 months ending December 2025, where after this was to be repaid in 35 equal monthly instalments with a final repayment of R215 million in December 2027. In February 2026, CEC signed new term sheets with African Bank which placed a capital moratorium on repayments until the new facility agreement is signed, resulting in no principal repayments being contractually due within the next twelve months. The moratorium did not result in a substantial modification and there was no material adjustment arising from the modification loss as such no modification loss has been recognised.
	1 350 817	3 956 310	
Non-current liabilities portion of interest-bearing borrowings	**1 350 817**	1 472 779	
Current portion liabilities of interest-bearing borrowings		2 483 531	
	1 350 817	3 956 310	

* The balances of these borrowings were reduced to Rnil as the majority of the debt was waived by TPC and the remaining debt was converted to equity in Cell C Proprietary Limited.

\# This facility is securitised by a combination of subscriber handset receivables as well as service revenue receivables but CEC must maintain a collateral of at least 1.25 times the utilised facility. The facility balance as at 31 May 2026 amounts to R 1.351 billion and therefore requires a total collateral pool of R 1.689 billion. This collateral pool is updated monthly with African Bank as some contracts expire and new contracts are added. As at 31 May 2026, the collateral pool was in excess of the required pool and comprised of R1.772 billion of service revenue receivables, R 0.219 billion of trade receivables and R 1.088 billion of handset receivables.

Blu Label Unlimited and TPC collectively guarantees a value of R 250 000 000 to African Bank.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

20. Cash and cash equivalents

Figures in R'000	Group 2026	Group 2025
Bank balances	**132 849**	182 110

The Group considers that its cash and cash equivalents have low credit risk based on the external credit ratings of the financial institutions combined with the fact that the institutions are reputable within the economic environment. Therefore, no loss allowance has been recognised in respect of cash and cash equivalents at the reporting date.

20.1 Credit ratings of counterparties:

Counterparty	Rating (Moody's)	2026	2025	Outlook
Nedbank	Aaa.za	**126 001**	111 403	Positive
Standard Bank	Aaa.za	**34**	2 827	Positive
ABSA	Aaa.za	**455**	–	
First National Bank	Aaa.za	**6 359**	67 880	Positive

Cash and cash equivalents includes R21.3 million (2025: R17.9 million) which is held in an escrow account subject to restrictions imposed on CEC in respect of the handset financing arrangement refer to note 4.1.2.

The carrying amount approximates its fair value due to its short-term nature.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

21. Share capital

Figures in R'000	Group 2026	Group 2025
Authorised		
0 (2025:1000) ordinary shares of R1 each	–	1
0 (2025: 2 475 000 000) "A" ordinary shares at par value	–	23 263 500
5 000 000 000 "A" ordinary shares at no par value	–	–
0 (2025: 25 000 000) "B" convertible ordinary shares of R 0.12 each	–	3 000 000
	–	26 263 501
Issued		
0 (2025: 641) At no par value ordinary shares*	–	–
0 (2025: 1 436 560 948) A ordinary shares at par value	–	11 500 609
0 (2025: 25 000 000) B convertible ordinary shares	–	3
3 340 000 000 (2025: 0) ordinary shares	9 010 000	–
	9 010 000	11 500 612
Share premium	–	14 168 218
Balance as at the end of the period	9 010 000	25 668 830

* Share capital of R641 is not disclosed due to the amount being less than R1 000.

Non-distributable reserve		
Reverse acquisition of Cell C Proprietary Limited#	25 629 277	–

\# As part of the reverse acquisition of Cell C Proprietary Limited by Cell C Holdings, a non-distributable reserve was recognised in relation to Cell C Proprietary Limited's share capital and share premium.

Reconciliation of issued shares		
Ordinary shares	–	641
Number of shares at the end of the period		
A ordinary shares^		
Number of shares at the beginning of the period	1 436 560 948	1 436 560 948
Conversion of B convertible ordinary shares	25 000 000	–
Issued as part of pre-listing restructuring transactions	331 477 316 278	–
Number before the reverse acquisition	332 938 877 226	1,436,560,948
Exchange ratio of 979 (dilution factor)~		
Balance at the end of the period	340 000 000	1 436 560 948
A ordinary shares^		
Number of shares at the beginning of the period	1 436 560 948	1 436 560 948
Conversion into ordinary shares	(1 436 560 948)	–
Number before the reverse acquisition	–	1 436 560 948
B convertible ordinary shares†		
Number of shares at the beginning of the period	25 000 000	25 000 000
Conversion into A ordinary shares	(25 000 000)	–
Number at the end of the period	–	25 000 000

^ Holders of A ordinary shares are entitled to dividends as declared from time to time and are entitled to one vote per share at general meetings of the Company.
† B convertible ordinary shares cannot be transferred but are convertible to A ordinary shares on a one-for-one basis at the option of the holder on conversion date, which is the earlier of the listing of the Company or five years after the 2017 recapitalisation transaction. Holders are entitled to dividends as declared from time to time and are entitled to one vote per share at general meetings of the Company. Dividends are cumulative and only payable on conversion date.
~ This transaction pertains to a share exchange whereby shareholders of Cell C Proprietary Limited received one share in Cell C Holdings for every 979 shares held in Cell C Proprietary Limited. Cell C Holdings issued 340 000 000 shares to acquire all 332 938 877 226 outstanding shares of Cell C Proprietary Limited.

During the quarter ended 31 August 2025, the Board of Directors approved the transfer of 25 000 000 Class B shares held by individual shareholders. Under the existing Memorandum of Incorporation (MOI), individual shareholders were not permitted to dispose of Class B shares. Consequently, the shareholders proposed an amendment to the MOI to allow for transfer of these shares. The MOI was subsequently amended in September 2025, enabling the individual shareholders to transfer their 25 000 000 Class B convertible ordinary shares to K2021889191 (SA) (RF) Proprietary Limited.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

22. Share-based payment reserve

Figures in R'000	Group 2026	Group 2025
Equity share ownership plan	**62 148**	–
In-substance share option	**140 000**	–
	202 148	–

22.1 Equity share ownership plan

In November 2025, TPC awarded 15 300 000 ordinary shares (4.5% of issued share capital) to an executive director (the Allocator), who allocated a significant portion to selected senior management (the Nominees) based on role, seniority and expected contribution to the Group entities strategy over the vesting period. Although the Allocator, not the Group entities, is the legal transferor, the awards are accounted for as equity-settled share-based payments of the Group entities under IFRS 2. Vesting is subject to the Nominee's continued employment throughout the vesting period; unvested shares of any Nominee leaving other than as a good leaver revert to the Allocator. Both the Allocator and the Nominees are entitled to receive dividends declared on the awarded shares from grant date and throughout the vesting period. Shares forfeited during the vesting period will forfeit any dividends pertaining to such shares. No dividends were declared during the current year.

	Tranche 1	Tranche 2	Total
Number of shares granted	9 180 000	6 120 000	15 300 000
Fair value per share at grant date (R)	26.50	26.50	
Fair value at grant date (R'000)	243 270	162 180	405 450
Vesting period (years)	5	7	
Outstanding at 1 June 2025		–	–
Granted during the year		15 300 000	–
Exercised during the year		–	–
Forfeited during the year		–	–
Expired during the year		–	–
Outstanding at 31 May 2026		15 300 000	–
of which: expected to vest as Tranche 1 (1 July 2028 – 31 May 2028)		9 180 000	–
of which: expected to vest as Tranche 2 (1 July 2030 – 31 May 2030)		6 120 000	–
Exercisable at 31 May 2026		–	–

During the year, the Group recognised a share-based payment expense of R62.1 million (2025: nil) in respect of equity-settled share option awards (refer to note 33). This expense represents the current year component of the awards' total grant date fair value of R405 450 000.

The fair value of the shares is based on the open market closing price of R26.5 per share at grant date.

The total number of shares of the equity share ownership plan were issued to Nominees and the Allocator.

22.2 In-substance share option

In November 2025, TPC entered into a BBB-EE transaction with Sisonke Proprietary Limited, whereby TPC effectively granted Sisonke Proprietary Limited an in-substance option over a 15.95% equity interest in Cell C. The in-substance option arose because TPC financed the disposal of its 15.95% shareholding to Sisonke through an interest-bearing loan.

The loan balance is reduced by 90% of dividends received by Sisonke Proprietary Limited on the 16% shareholding, which is akin to the exercise price. Sisonke Proprietary Limited retains 10% of dividends, which represents the dividend entitlement attached to the in-substance option.

There are no service or vesting conditions associated with the arrangement. Accordingly, 100% of the grant date fair value of the in-substance option of R140 million has been recognised in profit or loss with a corresponding credit to equity.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

23. Employee benefit obligations

Figures in R'000	Group 2026	Group 2025
Provisions for employee benefits		
Bonus provision	**308 725**	215 972
Reconciliation of bonus provision		
At the beginning of the year	**215 972**	142 086
Recognised	**227 726**	137 527
Utilised	**(134 973)**	(63 641)
Balance at the end of the year	**308 725**	215 972

The bonus provision was raised in line with the Board approved Total Reward Framework which includes a Long-Term Incentive (LTI) and Short-Term Incentive (STI). Senior management was given the option of taking their STI bonus either in cash or as 50% deferred for three years, therefore the provision will also include the deferred 50% as elected by employees which the employee can draw down on call. The balance of the provision is an LTI portion which is payable over a three-year vesting period varying for each employee.

24. Trade and other payables

Trade and other payables comprise:

Figures in R'000	Group 2026	Group 2025
Financial liabilities		
Trade payables	**3 180 355**	3 180 764
Accrued liabilities	**803 480**	892 278
Non-financial liabilities	**3 983 835**	4 073 042
Value added tax	**–**	374 945
Income received in advance	**120 169**	99 195
Deposits received	**79**	–
	120 248	474 140
Total trade and other payables	**4 104 083**	4 547 182

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

25. Lease liabilities

25.1 Non-current

Figures in R'000	Group 2026	Group 2025
Lease liabilities – motor vehicles	**1 192**	1 753
Lease liabilities – network and related assets*	**266 773**	1 379 812
Lease liabilities – buildings	**353 600**	256 479
Total non-current lease liabilities	**621 565**	1 638 044
Current		
Lease liabilities – motor vehicles	**2 876**	1 731
Lease liabilities – network and related assets	**141 172**	217 404
Lease liabilities – buildings	**36 806**	59 837
Total current lease liabilities	**180 854**	278 972
Total lease liabilities	**802 419**	1 917 016

* Cell C Proprietary Limited settled certain lease liabilities during the year, resulting in the derecognition of related lease liability following the listing transaction.

The Group leases buildings, motor vehicles and network and related assets.

The motor vehicle leases have a remaining lease term of up to three years. The average discount rate is 21.24% (2025: 10.21%). The average monthly repayments amount to R0.296 million (2025: R0.184 million).

Leases of network and related assets are in respect of Telkom links and other network assets. The leases have remaining lease terms of up to 12 years and an average discount rate of 23.03% (2025: 20.83%). The average monthly repayments amount to R25.23 million (2025: R36.79 million).

The Group's leased buildings comprises of leased offices located in Waterfall in Johannesburg and leased stores. The leases have remaining lease terms of up to eight years and seven months an average discount rate is 22.15% (2025: 18.34%). The average monthly repayments amount to R10.74 million (2025: R13.98 million).

Figures in R'000	Group 2026	Group 2025
Amounts recognised in profit or loss		
Short-term lease expense (included in other expenses)	**229 793**	102 015
Depreciation	**(136 393)**	(197 968)
Interest on lease liabilities (included in finance costs)	**(271 848)**	(330 627)
Gain from lease terminations	**493 533**	15 700

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

25. Lease liabilities continued

25.2 Amounts recognised in the statements of cash flows

Figures in R'000	Group 2026	Group 2025
Interest on lease liabilities (included in cash flows from financing activities)	**(260 311)**	(308 667)
Capital repayments of lease liabilities (included in cash flows from financing activities)	**(156 357)**	(262 145)
Short term lease expense (included in cash flows from operating activities)	**(229 793)**	(102 015)

All lease payments are paid at a fixed rate or escalated at a fixed percentage of CPI, which was 3.35% (2025: 4.75%) for the reporting period.

The Waterfall lease contains an extension option exercisable by the Group up to two months before the end of the non-cancellable contract period. Where practicable, the Group seeks to include extension options in new leases to provide operational flexibility. The extension options held are exercisable only by the Group and not by the lessors. The Group assesses at the lease commencement date whether it is reasonably certain to exercise the option if there is a significant event or significant changes in circumstances within its control.

Figures in R'000	Group 2026	Group 2025
Lease commitments		
Contracted for but not yet incurred	**1 438 027**	3 110 252
Less than 1 year	**350 524**	399 727
Between 1 – 2 years	**262 243**	606 196
Between 2 – 5 years	**182 193**	755 553
Greater than 5 years	**643 067**	1 348 776

26. Contract liabilities

Figures in R'000	Group 2026	Group 2025
Balance at beginning of the year	**2 594 550**	2 401 814
Recognition of revenue from customers	**(6 281 524)**	(6 332 246)
Repurchased stock*	**(2 091 159)**	–
Airtime vouchers sold but not yet used	**5 952 086**	6 524 982
Balance at end of the year	**173 953**	2 594 550

* Airtime was repurchased from TPC in the current year as part of the listing transaction.

The contract liabilities predominantly relate to the advance consideration for prepaid vouchers ('pinned stock'). The contract liability is recognised when the prepaid vouchers have been delivered to the distributor and the revenue is recognised once the vouchers have been used.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

27. Business combination

Acquisition of Comm Equipment Company Proprietary Limited (CEC)

On 22 November 2025, Cell C Proprietary Limited acquired 100% of the voting shares of CEC, an unlisted company that provides procurement, device financing, and support services to the Group. This acquisition forms an integral part of Cell C's restructuring strategy and has been accounted for using the acquisition method under IFRS 3.

CEC was acquired on 22 November 2025, eight days before the reporting period of 30 November 2025. The acquisition was assessed as material and the statement of financial position includes the assets and liabilities of CEC as at the reporting date (30 November 2025). The impact on the statement of profit or loss and other comprehensive income for the eight-day period from acquisition to the reporting date (30 November 2025) was assessed as immaterial and, as such, CEC's profit or loss for that period was not separately presented.

The fair values of the identifiable assets and liabilities of CEC as at the date of acquisition were:

Figures in R'000	Group 2026	Group 2025
Assets		
Property, plant and equipment	**567**	-
Intangible assets	**1 065 320**	-
Loan receivable	**301 596**	-
Advances to customers	**1 522 004**	-
Financial assets at fair value through profit and loss	**23 349**	-
Inventories	**543 662**	-
Trade and other receivables	**175 753**	-
Current tax asset	**5 231**	-
Cash and cash equivalents	**32 976**	-
Total assets	**3 670 458**	-
Liabilities		
Borrowings	**(1 441 068)**	-
Deferred taxation liability	**(178 486)**	-
Shared based payment liability	**(8 023)**	-
Trade and other payables	**(884 543)**	-
Total liabilities	**(2 512 120)**	-
Total identifiable net assets at fair value	**1 158 338**	-
Goodwill arising on acquisition	**866 389**	-
Purchase consideration transferred*	**2 024 727**	-

* The consideration transferred was settled through an issue of equity instruments of Cell C Proprietary Limited to TPC. The fair value of the shares was calculated with reference to the quoted price of the shares of Cell C Proprietary Limited at the date of acquisition, which was R27.06 per share. The fair value of the consideration given was therefore R 2 024 727. The number of equity instruments issued as consideration was 74 818 000 910 shares.

The acquisition date fair value of the trade receivables amounts to R 98.6 million. The gross amount of trade receivables is R98.8 million and it is expected that the full contractual amounts can be collected.

Goodwill represents the excess of the consideration transferred over the acquisition-date fair value of the identifiable net assets acquired. The goodwill is primarily attributed to the expected synergies and other benefits from combining the assets and activities of CEC with those of the Group. The goodwill is not deductible for income tax purposes and adjustments during the measurement period may occur within 12 months from acquisition date.

From the date of acquisition, CEC contributed R906 million to the Group's revenue and a loss before tax of R692 million. Had the acquisition of CEC occurred on 1 June 2025, the Group's pro forma revenue for the year ended 31 May 2026 would have been R13.6 billion, with pro forma profit after tax of R4.4 billion.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

28. Revenue

Revenue from contracts with customers is disaggregated by the nature of the revenue streams generated by the business and the timing of revenue recognition as follows:

Figures in R'000	Group 2026	Group 2025
Prepaid	**6 281 524**	6 332 246
Postpaid	**2 322 124**	2 293 527
Mobile services	**8 603 648**	8 625 773
Wholesale	**1 759 711**	1 466 494
Roaming	**1 533 054**	1 693 509
Other Revenue	**217 221**	271 928
Total service before discounts	**12 113 634**	12 057 704
Voucher discounts	**(472 230)**	(1 038 307)
Total service revenue after discounts	**11 641 404**	11 019 397
Equipment	**879 029**	118 770
Total revenue from contracts with customers	**12 520 433**	11 138 167
Timing of revenue recognition		
Transferred at a point in time	**1 332 083**	732 279
Transferred over time	**11 188 350**	10 405 888
	12 520 433	11 138 167
Revenue other than from contracts with customers		
Interest revenue (trading)	**120 885**	–
	120 885	–
Total revenue	**12 641 318**	11 138 167

29. Other income

Figures in R'000	Group 2026	Group 2025
Other income comprises:		
Sundry income*	**386 620**	422 990
CEC cost recoveries#	**432 402**	835 913
Franchise fees	**26 501**	26 609
Foreign currency gains – realised	**10 610**	20 829
Foreign currency gains – unrealised	**14 270**	12 736
Gain on derecognition of loans^	**3 531 039**	–
Gain on lease terminations†	**473 773**	–
Total other income	**4 875 215**	1 319 077

* Sundry income includes subscriber insurance royalties and recoveries of operating costs from franchises. Included in sundry income is an amount related to write-offs amounting to R349 million (2025: R338 million) for Group. This relates predominantly to accounts payable and accounts receivables with credit balances were written off.
# Included in CEC recoveries are operating costs charged to CEC, prior to the acquisition of the subsidiary in November 2025.
^ The gain on derecognition of loans relates to the TPC debt-to-equity conversion.
† Gain on lease termination related to settlement of sundry creditors.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

30. Direct expenses

Direct expenses comprise:

Figures in R'000	Group 2026	Group 2025
Wholesale cost	**692 302**	492 950
Ongoing commissions	**854 534**	780 718
Cost of mobile equipment sales	**1 635 539**	223 235
Termination costs	**933 069**	842 820
Roaming costs	**2 599 829**	2 636 875
Other mobile services cost	**99 984**	120 465
Prepaid subscriber acquisition costs ('SAC')	**466 327**	1 408 933
CEC Direct costs*	**377 009**	1 192 625
Other	**48 704**	22 268
Total direct expenses	**7 707 297**	7 720 889

* These CEC direct costs relate to expenses incurred in making various network services available to postpaid customers. These costs are subsequently recovered from CEC, prior to the acquisition of the subsidiary in November 2025.

Notes to the consolidated and separate financial statements continued

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31. Employee benefits expense

Employee benefits expense comprises:

Figures in R'000	Group 2026	Group 2025
Salaries and wages[#]	**771 474**	625 710
Performance and retention bonuses	**213 116**	146 112
Directors' and prescribed officers' emoluments	**7 860**	46 361
Total employee benefits expense	**992 450**	818 183

[#] Included in the salaries and wages are contributions to the defined contribution plan, amounting to R62.44 million (2025: R20.17 million).

Directors' and prescribed officers' emoluments in aggregate:

Figures in R'000	Group 2026	Group 2025
Executive directors and prescribed officers	**48 861**	35 687
Non executive directors	**1 615**	10 674
	50 476	46 361

Figures in R'000	Director fees	Salary and other	Bonuses and retention payments	Total
2026				
Executive directors				
ET Kope	**–**	**5 989**	**4 699**	**10 688**
JJC Mendes	**–**	**14 770**	**16 085**	**30 855**
RO Ayo-Oladejo	**–**	**4 265**	**3 053**	**7 318**
	–	**25 024**	**23 837**	**48 861**
Non-executive				
M Makanjee	**315**	**–**	**–**	**315**
GN Motsa	**280**	**–**	**–**	**280**
JS Mthimunye	**500**	**–**	**–**	**500**
SV Zilwa	**240**	**–**	**–**	**240**
SJ Vilakazi	**280**	**–**	**–**	**280**
	1 615	**–**	**–**	**1 615**
2025				
Executive directors and prescribed officers				
ET Kope	–	5 000	1 279	6 279
JJC Mendes	–	14 770	14 638	29 408
	–	19 770	15 917	35 687
Non-executive				
M Makanjee	1 170	–	–	1 170
GN Motsa	1 300	–	–	1 300
JS Mthimunye	2 000	–	–	2 000
SV Zilwa	1 140	–	–	1 140
SJ Vilakazi	1 200	–	–	1 200
LM Nestadt	1 250	–	–	1 250
DH Shimkins	1 200			1 200
N Lane*	900	514		1 414
	10 160	514	–	10 674

* N Lane resigned as a director on 23rd March 2025

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

32. Depreciation and amortisation

Depreciation and amortisation comprises:

Figures in R'000	Group 2026	Group 2025
Depreciation		
Property, plant and equipment (note 8)	**214 088**	232 905
	214 088	232 905
Amortisation		
Intangible assets (note 9)	**474 520**	235 256
Contract assets (note 12)	**24 618**	39 477
	499 138	274 733
Total depreciation and amortisation	**713 226**	507 638

33. Other expenses

Other expenses comprise:

Figures in R'000	Group 2026	Group 2025
Auditors remuneration	**21 780**	17 361
Fines and penalties	**6 170**	175
Foreign exchange loss – unrealised	**17 327**	15 810
IT expenses	**606 605**	540 085
Licence fees	**101 803**	80 599
Other administrative expenses	**536 421**	268 503
Repairs and maintenance	**23 235**	32 017
Selling, distribution and marketing costs	**356 341**	384 498
Share-based expense	**202 148**	–
Short-term lease expense – property rentals	**229 793**	102 015
Transmission costs	**55 648**	57 324
Water and electricity	**7 723**	5 015

34. Finance income

Finance income comprises:

Figures in R'000	Group 2026	Group 2025
Interest received on bank balances	**13 134**	11 032

35. Finance costs

Finance costs comprise:

Figures in R'000	Group 2026	Group 2025
Interest expense on working capital	**44 289**	107 908
Interest on borrowings	**462 600**	873 205
Interest on lease liabilities	**271 848**	330 627
Total finance costs	**778 737**	1 311 740

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

36. Income tax (credit)

Figures in R'000	Group 2026	Group 2025
Income tax recognised in profit or loss:		
Current tax		
Current year	**58 625**	119 950
Prior year adjustment	**(143 204)**	(15 763)
Total current tax	**(84 579)**	104 187
Deferred tax		
Current period – originating	**766 743**	(2 350 953)
Prior year under/(over) provision	**(649 707)**	(238)
Deferred tax not recognised	**390 337**	326 442
Recognition – deferred tax previously not recognised	**(553 321)**	–
Total deferred tax	**(45 948)**	(2 024 749)
Total income tax (credit)	**(130 527)**	(1 920 562)
The income tax for the year can be reconciled to accounting profit as follows: (Percentage reconciliation)		
Profit/(loss) before tax from operations	**4 029 759**	296 490

%	Group 2026 %	Group 2025 %
Income tax calculated at 27.0%	**27.00**	27.00
Tax effect of		
– Non-taxable income	**(13.27)**	(0.04)
– Non-deductible expenses	**7.06**	0.00
– Deferred tax previously not recognised	**(13.73)**	0.00
– Deferred tax not recognised	**0.00**	(52.34)
– Deferred tax – prior year under/(over) provision	**(16.12)**	(0.08)
– Intercompany eliminations	**(0.31)**	0.00
– Non-deductible recapitalisation expenses	**0.00**	66.12
– Current tax – prior year under/(over) provision	**(3.55)**	(5.32)
– Deferred tax recognised	**9.69**	(683.05)
– Other	**0.00**	0.02
Effective tax rate	**(3.23)**	(647.69)

37. Contingent liabilities

The Cell C Proprietary Limited has the following contingent liabilities at the end of the reporting period:

Figures in R'000	Group 2026	Group 2025
Legal matters	**72 000**	72 000

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

38. Related parties

Figures in R'000	Group 2026	Group 2025
Identification		
Shareholder with significant influence		
The Prepaid Company Proprietary Limited		
Subsidiaries		
Cell C Bidco Proprietary Limited		
Cell C Proprietary Limited		
Cell C Infraco Proprietary Limited		
Cell C Property Company Proprietary Limited		
Cell C Service Provider Company Proprietary Limited		
Cell C Tower Company Proprietary Limited		
Comm Equipment Company Proprietary Limited		
Associates		
Number Portability Company Proprietary Limited		
Affiliated entities		
3G Mobile Proprietary Limited		
Airvantage Proprietary Limited		
Blu Nova Proprietary Limited		
Blu Label Connect Proprietary Limited		
Blu Label Data Solutions Proprietary Limited		
Blu Label Distribution Proprietary Limited		
Blu Label One Proprietary Limited		
Blu Label Telecoms Limited		
Dunoworx Proprietary Limited		
Panacea Mobile Proprietary Limited		
Prism Payment Technologies Proprietary Limited		
Robtronics Proprietary Limited		
Simigenix Proprietary Limited		
The Post Paid Company Proprietary Limited		
Transaction Junction Proprietary Limited		
ViaMedia Proprietary Limited		
Wi Connect Proprietary Limited		

Related-party transactions are conducted on an arm's length basis and any outstanding balances are no more or less favourable than any other supplier or customer of a similar size. CEC occupies rental space at the Waterfall premises for no consideration, all other transactions are carried out at arm's length.

Figures in R'000	Group 2026	Group 2025
Related party transactions and balances		
Purchases from related parties		
Comm Equipment Company Proprietary Limited	**1 899 590**	4 031 072
CEC direct costs*	**928 863**	1 192 625
CEC operating costs*	**970 727**	2 838 447
Transaction Junction Proprietary Limited	**3 452**	4 462
Dunoworx Proprietary Limited	**3 517**	2 577
The Prepaid Company Proprietary Limited	**242 751**	78 001
Number Portability Company Proprietary Limited	**4 145**	3 537
Blue Label Data Solutions	**26 980**	-
Blu Label Distribution Proprietary Limited	**1 262**	-
Blu Label AltBureau Proprietary Limited	**18 395**	
Blu Nova Proprietary Limited	**17 082**	23 137
Blu Label One Proprietary Limited	**9 339**	8 238
	2 226 513	4 151 024

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

38. Related parties continued

Figures in R'000	Group 2026	Group 2025
Revenue from sales to related parties		
The Prepaid Company Proprietary Limited	**3 468 233**	2 876 127
Blu Label Connect Proprietary Limited	**4 125**	5 930
Comm Equipment Company Proprietary Limited*	**540 915**	1 768 897
Blu Label Distribution Proprietary Limited	**14 385**	–
Transaction Junction Proprietary	**52**	39
Blu Label Data Solutions Proprietary Limited	**–**	187
TicketPro Proprietary Limited	**50**	–
	4 027 760	4 651 180
Other Income from related parties		
Comm Equipment Company Proprietary Limited*	**236 766**	835 913
	236 766	835 913
Commissions and administration fees paid to related parties		
Blu Label Connect Proprietary Limited	**4 204**	9 898
The Prepaid Company Proprietary Limited	**2 632**	2 905
The Post Paid Company Proprietary Limited	**40**	42
Blu Label Distribution Proprietary Limited	**39**	42
Wi Connect Proprietary Limited	**–**	31
	6 915	12 918
Trade and other payables due to related parties		
The Prepaid Company Proprietary Limited	**5 182**	733 794
Transaction Junction Proprietary Limited	**787**	1 156
Dunoworx Proprietary Limited	**–**	7
Blue Label Data Solutions	**10 310**	–
Blu Label Connect Proprietary Limited	**1 904**	–
Blu Label Media Proprietary Limited	**1 242**	–
Blu Label One Proprietary Limited	**–**	1 188
Blu Label Distribution Proprietary Limited	**295**	–
Blu Label AltBureau Proprietary Limited	**8 106**	
Number Portability Company Proprietary Limited	**596**	620
Blu Nova Proprietary Limited	**3 687**	5 542
Comm Equipment Company Proprietary Limited*	**–**	32
	32 109	742 339
Amounts due from related parties included in interest-bearing loans and borrowings		
Comm Equipment Company Proprietary Limited (CEC)*	**182 696**	490 308
The Prepaid Company Proprietary Limited#	**–**	2 575 265
	182 696	3 065 573
Interest expense from related parties		
Comm Equipment Company Proprietary Limited (CEC)*	**32 730**	95 927
The Prepaid Company Proprietary Limited#	**340 633**	640 978
	373 363	736 905
Amounts due from related parties included in trade and other receivables		
Blu Label Distribution Proprietary Limited	**32 099**	–
Blu Label Connect Proprietary Limited	**1 329**	46 659
The Prepaid Company Proprietary Limited	**300 676**	–
Comm Equipment Company Proprietary Limited (CEC)	**17 410**	80 106
	351 514	126 765
Management fees – received/(paid)		
Blu Label Connect Proprietary Limited	**(5 100)**	–
Blu Label Distribution Proprietary Limited	**(279)**	–
Blu Nova Proprietary Limited	**623**	–
	(4 756)	–

* Transactions disclosed were entered into prior to CEC being acquired as a subsidiary. Refer to note 27.

^ Included in TPC purchases is an amount of R172.6 million for the current year, relating to recoveries from third parties that were invoiced through TPC.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

39. Going concern

Cell C Holdings Limited comprises of the Company, its subsidiaries and associate (together referred to as the Group and individually as Group entities). The major subsidiaries of the Group are namely; Comm Equipment Company Proprietary Limited (CEC), which was acquired in the current year, Service Provider Company Proprietary Limited and Cell C Proprietary Limited.

The Group reported a profit after tax of R4.2 billion (2025 profit: R2.2 billion). The Group had an excess of current liabilities over current assets of R1.4 billion (2025: R9.0 billion). Total assets exceeded total liabilities by R3.3 billion (2025: R8.3 billion).

In the prior year, the Group experienced liquidity pressure, primarily due to short-term obligations due within the next 12 months. During the current year, loans were converted into equity, sundry creditors were settled, and airtime was repurchased, resulting in a reduction in contract liabilities as part of the IPO transactions for the listing of Cell C Holdings. These transactions contributed to a significant improvement in the Group's liquidity position. Notwithstanding this improvement, the Group continues to have significant short-term obligations arising from trade and other payables, which are closely monitored by management.

The Group's solvency position has improved significantly, with the Group transitioning from a position of technical insolvency to a solvent position. This improvement is primarily attributable to the accounting entries arising from the IPO transaction, as described above.

These conditions indicate that, while the Group continues to face liquidity pressures, its overall financial position has improved significantly. In assessing the Group's ability to continue as a going concern, the Board is required to consider the Group's cash flow forecasts, operational plans and available mitigating actions in determining whether the going-concern basis of preparation remains appropriate.

Restructuring of liabilities

Due to liquidity and solvency concerns affecting operations, the Group successfully concluded its balance sheet restructuring during the current year. This process involved extensive engagement with lenders, lessors, and shareholders, representing a significant milestone that strengthened the consensual compromise, recapitalised the Group's financial position, and materially deleveraged the balance sheet.

Following the conclusion of this process, the Group ended the reporting period with only trading-level debt, thereby enhancing financial flexibility and improving the Group's capacity to execute its strategy with greater resilience, discipline and optionality. The strengthened balance sheet provides a more sustainable platform from which the Group can continue to pursue its operational and strategic priorities, while maintaining prudent capital allocation and disciplined execution. Refer to Listing Overview for further details on the transactions.

Cash position

In assessing the appropriateness of the going concern assumption, management prepared cash flow forecasts covering a 12-month period from the reporting date and beyond. Management also considered longer-term forecasts to consider the sustainability of the Group operations beyond the next 12 months.

The Board is responsible for preparing the financial statements on a going-concern basis unless it intends to liquidate the Group, cease operations or has no realistic alternative but to do so. Having considered the improvement of the Group's financial position, cash flow forecasts, identified liquidity risks and the mitigating actions available to management, the Board has no intention to liquidate the Group or cease operations.

The Board is therefore satisfied that the Group has realistic alternatives available to further improve its current liquidity position and that it will be able to meet its obligations as they fall due. Accordingly, the Board considers the going-concern basis of preparation to be appropriate for the Group's financial statements.

Conclusion

Management and the Board have concluded that, despite ongoing challenges, there are tangible alternatives and actions in place to address the Group's liquidity and solvency issues. Therefore, the financial statements have been prepared on a going concern basis, reflecting management's confidence in the Group's ability to continue operating for the foreseeable future.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

40. Financial instruments and risk management

40.1 Valuation techniques and significant unobservable inputs of financial instruments

The following table presents the carrying amounts and the fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

Figures in R'000	Notes	Carrying amount	Fair value
31 May 2026			
Interest-bearing borrowings			
Loans receivable	18	**11 361**	**11 361**
Borrowings	19	**1 350 817**	**1 419 016**

Figures in R'000	Note	Carrying amount	Fair value
Group			
31 May 2025			
Borrowings	19		
The Prepaid Company Proprietary Limited ('TPC') Recapitalised loan 1		2 235 103	3 003 000
The Prepaid Company Proprietary Limited ('TPC') Reinvested debt loan 2		272 773	309 000
The Prepaid Company Proprietary Limited ('TPC') loan 3		65 088	51 000
Nedbank Limited		435 070	403 000
The Prepaid Company Proprietary Limited ('TPC')		457 968	513 000
Restructure implementation agreement – CEC		490 308	531 000

The following table shows the valuation technique used in measuring Level 3 fair values for financial instruments in the statement of financial position, as well as the significant unobservable inputs used.

Type	Valuation technique	Significant unobservable inputs	Inter-relationship between significant unobservable inputs and fair value measurements
Interest-bearing	Discounted cash flow: The valuation model considers the present value of the expected future payments, discounted using a risk-adjusted discount rate.	Risk-adjusted discount rates at the end of the current and prior reporting period are outlined below.	The estimated fair value would increase (decrease) if the risk-adjusted discount rate were lower/(higher).
Interest-free	Discounted cash flow: The valuation model considers the present value of the expected future payments, discounted using a risk-adjusted market related discount rate.	Risk-adjusted discount rates at the end of the current and prior reporting period are outlined below.	The estimated fair value would increase (decrease) if the risk-adjusted discount rate were lower/(higher).

Significant unobservable inputs:

Interest-bearing borrowing	Risk-adjusted discount rate
Loans receivable	10.50%
Borrowings	8.16%

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

40. Financial instruments and risk management continued

40.1 Valuation techniques and significant unobservable inputs of financial instruments continued

Categories of financial assets and financial liabilities

The carrying amounts of financial assets and financial liabilities in each category are as follows:

Figures in R'000	Notes	2026 Amortised cost	2025 Amortised cost
Financial assets			
Trade and other receivables	14	**1 473 882**	978 967
Advances to customers	17	**2 366 408**	–
Loans receivable	18	**11 361**	–
Cash and cash equivalents	20	**132 849**	182 110
		3 984 500	1 161 077
Financial liabilities			
Borrowings	19	**1 350 817**	3 956 310
Lease liabilities	25	**802 419**	1 917 016
Trade and other payables	24	**3 983 835**	4 073 089
Loans from subsidiaries		**–**	–
		6 137 071	9 946 415

The carrying amounts approximate the fair values of the financial instruments except interest-bearing borrowings.

Capital management

The Board's policy is to maintain a strong capital base to maintain investor, creditor and market confidence and to sustain future development of the business. The Board of Directors approves a budget for each reporting period. Each budget includes a capital expenditure amount against which the Board then measures the actual capital expenditure.

The Group's strategy, which has remained unchanged in the current year, has been to maintain the debt-to-adjusted capital ratio of 70% equity and 30% debt. This ratio is a long-term strategy which is aligned to companies within the industry.

The Group's highly leveraged position has driven management to take the below actions to restore the gearing ratio to the desired level of 70:30 between equity and debt, respectively.

The Group has an active capital management policy based on:

- actively working in consultation with the shareholders to optimise the capital structure;
- ensuring long-term funding needs of the Group are met through the business planning and budgeting process; and
- refinancing matching obligations in a timely and efficient manner.

Figures in R'000	Group 2026	Group 2025
Cash and cash equivalents*	**111 532**	164 195
Share capital and share premium	**9 010 000**	25 668 830
Accumulated loss	**(31 491 807)**	(33 973 577)
Share-based payment reserve	**202 148**	–
Non-distributable reserve	**25 629 277**	–
	3 461 150	(8 140 552)
Borrowings	**1 350 817**	3 956 310
Lease liabilities	**802 419**	1 917 016
	2 153 236	5 873 326

* Cash and cash equivalents excludes restricted cash of R 21.3 million (31 May 2025: 17.9 million).

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

40. Financial instruments and risk management continued

40.2 Financial risk management

The Group's risk management is predominantly controlled by a central treasury department under policies approved by the Board. The Board provides written principles for overall risk management, as well as policies covering specific areas, such as foreign exchange risk, interest rate risk, credit risk, use of derivative financial instruments and non-derivative financial instruments, and investment of excess liquidity. Management assesses and manages the liquidity position of the Group and reports and makes recommendations to the Board on the liquidity.

The Group has exposure to the following risks from its financial instruments:
- Market risk (including currency risk)
- Credit risk
- Liquidity risk

The note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and procedures for measuring and managing risk and the Group's management of capital. Further quantitative disclosures are included in the note relating to the financial instrument concerned.

40.2.1 Market risks

The Group is exposed to market risks through its use of financial instruments and specifically to currency risk and interest rate risk which result from both its operating and investing activities.

Foreign currency risk

The Group is exposed to foreign currency risk through purchases denominated in foreign currencies. Exposures to currency exchange rates arise from the Group's foreign payables, which are primarily denominated in Chinese Yuan (CNY). To the extent possible, receipts in foreign currency are used to settle foreign liabilities. Forward exchange contracts are entered into on a case-by-case basis to mitigate the foreign currency risk. The Group does not use foreign exchange contracts for speculative purposes and does not apply hedge accounting. The Group varies its exposure depending on its view of the currency values, within acceptable risk parameters.

The Group's exposure to foreign currency risk at the reporting date was as follows:

Figures in R'000	Foreign denomination	Closing rate	R'000
Trade payables			
2026			
EUR	**169**	**18.88**	**3 191**
USD	**2 835**	**16.19**	**45 899**
GBP		**21.27**	**–**
CNY	**87 320**	**2.39**	**208 695**
	90 324		**257 784**
2025			
EUR	265	20.32	5 387
USD	2 150	17.91	38 506
GBP	41	24.13	998
CNY	30 198	2.49	75 139
	32 654		120 030

Notes to the consolidated and separate financial statements continued

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40. Financial instruments and risk management continued

40.2 Financial risk management continued

40.2.1 Market risks continued

The following table includes the Group and Company's sensitivity at reporting date to the indicated movements in foreign exchange on financial instruments. The Group and Company have assumed a +/– 10% change of the ZAR/USD exchange rate for the reporting period (2025: +/– 10%). These percentages have been determined based on the average market volatility in exchange rates in the previous twelve months. The sensitivity analysis is based on the Group's and Company's foreign currency trade payables held at each reporting date.

	Impact on profit/(loss) before tax		Impact on equity	
Figures in R'000	**2026**	2025	**2026**	2025
Group				
Exchange rate – increase 10% (2025: 10%)	**(25 778)**	(12 003)	**(18 818)**	(8 762)
Exchange rate – decrease 10% (2025: 10%)	**25 778**	12 003	**18 818**	8 762

Interest rate risk

The Group's policy is to minimise interest rate risk exposures on long-term financing. Longer-term borrowings are therefore usually at fixed rates. At the reporting date the interest rate profile of the Group's and Company's interest-bearing financial instruments were:

Figures in R'000	**2026**	2025
Floating rate		
Borrowings	**–**	(2 235 103)
Cash and cash equivalents	**132 849**	182 110
Trade and other payables	**(492 866)**	(662 288)
Fixed rate		
Borrowings	**(1 350 817)**	(1 721 207)

The following table illustrates the sensitivity of profit and equity to a reasonably possible change in interest rates of +/– 50 basis points for the 2026 reporting period (2025: +/– 50 basis points). These changes are considered to be reasonably possible based on observation of current market conditions. The calculations are based on a change in the average market interest rate for each period, and the financial instruments held at each reporting date that are sensitive to changes in interest rates. All other variables are held constant.

	Impact on profit/(loss) before tax		Impact on equity	
Figures in R'000	**2026**	2025	**2026**	2025
Group				
Interest rate decrease – 50 (2025: 50) basis points	**1 839**	18 145	**1 342**	12 883
Interest rate increase – 50 (2025: 50) basis points	**(1 839)**	(18 145)	**(1 342)**	(12 883)

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

40. Financial instruments and risk management continued

40.2 Financial risk management continued

40.2.2 Credit risk

The risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's receivables from customers.

The Group's principal financial assets are cash and cash equivalents, loans receivables, advances and trade and other receivables. The Group's credit risk is primarily attributable to its trade receivables and advances to customers. The amount presented in the statement of financial position is net of loss allowances and represents the total maximum credit risk exposure at the reporting date. The Group has no significant concentration of credit risk, with exposure spread over a large number of counterparties and customers.

Ownership of financial assets involves the risk that counterparties may be unable to meet the terms of their agreements. These risks are monitored by limiting the aggregate risk to any individual counterparty. The credit risk is generally highly diversified due to the large number of customers consisting of private individuals, corporate companies and advances to customers. A thorough credit vetting process is conducted prior to customer onboarding, and a robust collections strategy is in place to ensure timely payments.

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers the factors that may influence the credit risk of its customer base, including the default risk associated with the industry and country in which customers operate (i.e. South Africa).

Risk management has established a credit policy under which each new customer is analysed individually for creditworthiness before the Group's standard payment and delivery terms and conditions are offered. Sale limits are established for each customer and reviewed on an ongoing basis.

The Group limits its exposure to credit risk from trade receivables by establishing a maximum payment period.

Expected credit loss assessment

IFRS 9 provides practical expedients for operational simplifications of trade receivables and contract assets that do not contain a significant financing component. The criteria are as follows:
- Trade receivables of one year or less or those which do not contain a significant financing component (in accordance with IFRS 15); and
- Long-term trade and other receivables which do not contain a significant financing component.

The simplified approach has been determined to be suitable for the implementation of the expected credit loss (ECL) calculation for the Group. All behavioural studies have been based on the historical contractual life of an invoice. A provision matrix (as illustrated below) has been utilised for the purposes of the calculation and account for the following factors:
- Probability of Default (PD): Computed per aging bucket based on historical aging analysis;
- Loss Given Default (LGD): Computed per portfolio and applied to all aging buckets;
- Exposure at Default (EAD): Computed per aging bucket for each portfolio; and
- Discounting factor (DF): Applied to all aging buckets for each portfolio.

The Group used a provision matrix to measure the ECLs of trade receivables and advances to customers, which comprise a very large number of small balances.

To measure the expected credit losses, trade receivables and contract assets have been grouped based on shared credit risk characteristics and the days past due. The contract assets relate to unbilled mobile services provided and have substantially the same risk characteristics as the trade receivables for the same types of contracts. The group has therefore concluded that the expected loss rates for trade receivables are a reasonable approximation of the loss rates for the contract assets for the current bracket not past due.

The expected loss rates are based on the payment profiles of sales over a period of months, respectively, and the corresponding historical credit losses experienced within this period.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

40. Financial instruments and risk management continued

40.2 Financial risk management continued

40.2.2 Credit risk continued

The following table provides information about the exposure to credit risk and ECLs for trade receivables and contract assets from customers as at reporting date.

Trade receivables

Figures in R'000	Weighted average loss rate %	Gross carrying amount	Expected loss allowance
31 May 2026			
Current	**0.06**	**751 378**	**(464)**
More than 30 days past due	**0.12**	**42 512**	**(52)**
More than 60 days past due	**0.11**	**9 884**	**(11)**
More than 90 days past due	**27.96**	**899 962**	**(251 589)**
		1 703 737	**(252 116)**

Figures in R'000	Weighted average loss rate %	Gross carrying amount	Expected loss allowance
31 May 2025			
Current	3.18	272 940	(8 671)
More than 30 days past due	14.26	163 433	(23 313)
More than 60 days past due	50.54	8 034	(4 061)
More than 90 days past due	35.95	856 354	(307 841)
		1 300 761	(343 886)

Trade receivables are written off when there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, amongst others, the failure of a debtor to engage in a repayment plan with the Group, and a failure to make contractual payments for a period of greater than 90 days past due.

40.2.3 Liquidity risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. Prudent liquidity risk management implies maintaining sufficient cash and marketable securities with the availability of funding through an adequate amount of committed credit facilities and the ability to close out market positions. Due to the dynamic nature of the underlying businesses, Group treasury maintains flexibility in funding by maintaining availability under committed credit lines.

The Group's risk to liquidity is as a result of the funds available to cover future commitments. The Group manages liquidity risk through an ongoing review of future commitments and credit facilities.

The maturity analysis of financial liabilities at the reporting date is set out in the table below. These amounts are gross and undiscounted, and include contractual interest payments:

Figures in R'000	Between 0 and 12 months	Between 1 and 2 years	Between 2 and 5 years	Over 5 years	Total contractual cash flows	Carrying amount
2026						
Borrowings	**(112 996)**	**(1 376 170)**	**–**		**(1 489 166)**	**(1 350 817)**
Trade and other payables	**(3 983 835)**	**–**	**–**		**(3 983 835)**	**(3 983 835)**
Lease liabilities	**(330 744)**	**(148 977)**	**(154 621)**	**(336 866)**	**(971 208)**	**(802 419)**
	(4 427 575)	**(1 525 147)**	**(154 621)**	**(336 866)**	**(6 444 209)**	**(6 137 071)**
2025						
Borrowings	(2 972 145)	(509 669)	(2 110 114)	–	(5 591 928)	(3 956 310)
Trade and other payables	(4 073 042)	–	–	–	(4 073 042)	(4 073 042)
Lease liabilities	(399 727)	(606 196)	(755 553)	(1 348 776)	(3 110 252)	(1 917 016)
	(7 444 914)	(1 115 865)	(2 865 667)	(1 348 776)	(12 775 222)	(9 946 368)

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

41. Cash flows from financing activities analysis

Figures in R'000	Group 2026	Group 2025
Profit before net finance costs, equity-accounted profit and tax	**4 795 288**	1 596 764
Adjustments for:		
Depreciation and amortisation expense	**713 226**	507 638
Expected credit loss/(reversal) on trade and other receivables	**(98 875)**	1 035
Net foreign exchange losses – unrealised	**3 057**	3 074
Share-based payment expense	**(210 171)**	–
Fair value gains	**(11 896)**	–
IFRS 16 lease disposal (gain)/loss	**(19 760)**	–
Gain on derecognition of property, plant and equipment	**(6 330)**	(457)
Discount received	**(14 273)**	(39 854)
Retirement of property, plant and equipment	**(2 678)**	(15 700)
Gain on termination of leases	**(473 773)**	
ECL on loans receivable	**11 889**	–
Provision for inventory losses	**(6 724)**	7 719
Gain on derecognition of loans	**(3 519 150)**	–
Change in operating assets and liabilities:		
Decrease/Increase in inventories	**287 249**	46 343
(Increase)/Decrease in trade and other receivables	**(3 103 978)**	1 092 899
Increase/(Decrease) in trade and other payables	**5 693 400**	(1 579 689)
(Decrease)/Increase in contract liabilities	**(2 793 337)**	192 737
(Increase)/Decrease in advances to customers	**(242 288)**	–
Increase for provisions	**78 465**	73 886
Net cash flows from operations	**1 586 194**	1 886 395

Reconciliation of movements of liabilities to cash flows arising from financing activities

Figures in R'000	Borrowings	Lease liabilities	Total
Group			
Net debt as at 1 June 2024	3 749 964	1 792 246	5 542 210
Cash flows	(158 195)	(262 145)	(420 340)
Transfers from trade payables	–	234 449	234 449
Increase in lease liabilities	–	165 259	165 259
Interest expense accrual	873 205	330 627	1 203 832
Interest paid	(286 519)	(308 667)	(595 186)
Repayment through issue of vouchers	(195 636)	–	(195 636)
Termination of leases	–	(34 754)	(34 754)
Net debt as at 31 May 2025	3 982 819	1 917 015	5 899 834

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

41. Cash flows from financing activities analysis continued

Figures in R'000	Borrowings	Lease liabilities	Loans from subsidiaries
Group			
Net debt as at 1 June 2025	3 982 819	1 917 015	5 899 834
Cash flows	(430 406)	(156 357)	(586 763)
Conversion to equity	(471)	–	(471)
Transfers to trade payables	–	(447 007)	(447 007)
Increase in lease liabilities	–	181 627	181 627
Interest expense accrual	474 950	271 848	746 798
Interest paid	(251 829)	(260 311)	(512 140)
Acquired through business combination*	1 441 068	–	1 441 068
Elimination of loan#	(182 696)	–	(182 696)
Write off^	(3 610 701)	–	(3 610 701)
Termination of leases	–	(859 484)	(859 484)
Lease modification	–	155 088	155 088
Repayment of loan through offset against trade receivables	(71 917)	–	(71 917)
Net debt as at 31 May 2026	1 350 817	802 419	2 153 236

* The acquisition relates to the African Bank facility assumed through the acquisition of CEC. The facility has a maximum value of R 1.9 billion. As the facility is repaid, it cannot be redrawn. Refer to note 19

\# This relates to a loan payable to CEC, prior to the acquisition of the subsidiary in November 2025 the loan payable balance was included in the opening balance of the interest-bearing loans.

^ This relates to loans that were derecognised as part of the TPC debt-to-equity conversion.

Notes to the consolidated and separate financial statements continued

for the year ended 31 May 2026

42. Income tax paid

Figures in R'000	Group 2026	Group 2025
Amounts receivable/(payable) at the beginning of the year	**(147 295)**	(48 749)
Amounts (receivable)/payable at the end of the year	**11 390**	147 295
Current taxation expense	**84 580**	(104 187)
Fines and penalties	**(5 563)**	
Securities and transfer	**(2 023)**	–
	(58 911)	(5 642)

43. Events after reporting period

The Directors are not aware of any matter or circumstance arising since the end of the financial year to the date of this report that could have a material financial effect on the financial position or performance of the Group.

Company statement of financial position

as at 31 May 2026

Figures in R'000	Notes	2026	2025
Assets			
Non-current assets			
Investment in subsidiary	1	**9 010 000**	-
Total non-current assets		**9 010 000**	-
Total assets		**9 010 000**	-
Equity and liabilities			
Equity			
Share capital	2	**9 010 000**	-
Total equity		**9 010 000**	-
Total equity and liabilities		**9 010 000**	-

Company statement of profit or loss and other comprehensive income

as at 31 May 2026

Figures in R'000	Notes	2026	2025
Revenue		**–**	–
Interest revenue		**–**	–
Other income		**–**	–
Other expenses		**–**	–
Profit before net finance costs, equity-accounted profit and tax		**–**	–
Finance income		**–**	–
Finance costs		**–**	–
Share of profit from equity accounted investments		**–**	–
Profit before tax		**–**	–
Income tax expense		**–**	–
Profit for the year		**–**	–

The Company had no operating activities during the reporting period. Accordingly, no revenue, other income, expenses or other comprehensive income were recognised, resulting in a nil profit or loss and total comprehensive income for the period. Therefore, movements during the period were limited to the statement of financial position and the statement of changes in equity.

Company statement of changes in equity

for the year ended 31 May 2026

Figures in R'000	Issued capital	Total
Balance at 1 June 2025	-	-
Changes in equity		
Issue of equity*	9 010 000	9 010 000
Balance at 31 May 2026	**9 010 000**	**9 010 000**
Notes	2	

* Refer to note 2 for more details.

Company statement of cash flows

for the year ended 31 May 2026

Figures in R'000	Notes	2026	2025
Net cash flows from operating activities		–	–
Cash flows from investing activities		–	–
Cash flows from financing activities		–	–
Net increase in cash and cash equivalents		–	–
Cash and cash equivalents at beginning of the year		–	–
Cash and cash equivalents at end of the year		–	–

The Company did not undertake any operating, investing or financing activities during the reporting period. Accordingly, there were no cash inflows or cash outflows, and the statement of cash flows reflects no movements in cash and cash equivalents for the period. Movements during the period were limited to the statement of financial position and the statement of changes in equity.

Notes to the Company financial statements

for the year ended 31 May 2026

Figures in R'000	Company 2026	Company 2025
1. Investment in subsidiary		
Investment in subsidiary	9 010 000	–

Investment in associate

Name	Principal activity	% holding 2026	% holding 2025
Cell C Proprietary Limited	National mobile network operator that provides a range of voice, data and value-added services	100%	–

* In the current reporting period, Cell C Holdings Limited (Cell C Holdings) acquired 100% of Cell C Proprietary Limited through a share exchange as part of the pre-listing restructuring. Refer to the Listing overview for more details on this transaction.

2. Share capital

Figures in R'000	Company 2026	Company 2025
Authorised		
5 000 000 000 "A" ordinary shares at no par value	–	–
	–	–
Issued		
340 000 000 (2025: 0) ordinary shares*	9 010 000	–
Balance as at the end of the period	9 010 000	–

* This relates to the share exchange whereby shareholders of Cell C Proprietary Limited received one share in Cell C Holdings for every 979 shares held in Cell C Proprietary Limited. Cell C Holdings issued 340 000 000 shares to acquire all 332 938 877 226 outstanding shares of Cell C Proprietary Limited. Refer to the Listing overview for more details on this transaction.

3. Directors' emoluments

The Directors' emoluments have been disclosed in the Group financial statements in Note 31.

4. Related parties

The related parties of the Company are the same as those of the Group. During the current year, the Company did not enter into any related party transactions.

5. Events after the reporting period

The directors are not aware of any matter or circumstance arising since the end of the financial year to the date of this report that could have a material financial effect on the financial position or performance of the Company.

Annexure 1 – Administration

Country of incorporation and domicile	South Africa
Registration number	2025/688465/06
Nature of business and principal activities	The Group is a full-service national mobile network operator that provides a range of voice, data and value-added services.
Directors	ET Kope# JJC Mendes# M Makanjee^ GN Motsa^, JS Mthimunye^ SV Zilwa^ SJ Vilakazi* Rachael Oyelola Ayo-Oladejo# * Non-Executive Director # Executive Director ^ Independent Non-Executive Director
Registered office	The Waterfall Campus Cnr Maxwell Drive and Pretoria Main Road Buccleuch 2090
Business address	The Waterfall Campus Cnr Maxwell Drive and Pretoria Main Road Buccleuch 2090
Postal address	PO Box X36 Benmore 2010
Level of assurance	These financial statements have been audited in compliance with the applicable requirements of the Companies Act of South Africa.
Auditors	SizweNtsalubaGobodo Grant Thornton Incorporated (SNG Grant Thornton) 152 14th Road Noordwyk Midrand 1687
Company Secretary	M Robinson The Waterfall Campus Cnr Maxwell Drive and Pretoria Main Road Buccleuch 2090
Preparer	These audited consolidated and separate financial statements were compiled internally under the supervision of Cell C Holdings Limited CFO, ET Kope.

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